

Practical Taxation & Compliance

Practical, Hands-On, Job-Ready — India-first + Global

Real formulas, queries, entries & tools — closing the gap between what an MBA teaches and what finance employers pay for

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Tax on the job vs textbooks

What it is & where it's used

A tax/compliance role is not "knowing the Income-tax Act." It is running a **recurring machine** that takes raw business transactions, classifies them correctly, computes the right tax, files the right return before a legal deadline, pays the money, and keeps proof — every single month, forever. The Act is the rulebook; the job is operating the assembly line.

Where this sits in real org charts:

Role	What tax/compliance work looks like day-to-day
Accounts Executive (SME / startup)	Files GSTR-1 and GSTR-3B, deposits TDS, reconciles GSTR-2B vs purchase register in Excel
Tax Analyst (mid/large corp)	Owens a compliance calendar, prepares TDS returns (26Q/24Q), advance-tax workings, litigation trackers
Big-4 / consulting associate	Same mechanics but across many clients; automates recons in Excel/Power Query
AP/AR & Controller-track	Ensures every vendor invoice has correct GST + TDS <i>before</i> payment, so books close clean
Global finance (US/EU/APAC)	Sales-tax/VAT filings, withholding, statutory reporting — different rates, identical <i>rhythm</i>

The common thread across geographies: **deadlines are the product**. A brilliant computation filed one day late is a failure; a mediocre computation filed on time and later revised is normal.

The gap: why companies want this (and college didn't teach it)

Your MBA and CA-Inter taught you **how tax is computed** — slab rates, Section 40(a)(ia) disallowance, input tax credit eligibility, the theory of "supply." That knowledge is necessary and assumed. Nobody pays you for it, because it's in every textbook and now in every LLM.

What college did **not** teach, and what the company is actually buying:

- **The calendar mindset.** Textbooks are organized by *concept* (chapter on TDS, chapter on GST). Work is organized by *date* (7th = TDS deposit, 11th = GSTR-1, 20th = GSTR-3B). The unit of work is a deadline, not a topic.
- **Reconciliation, not computation.** 80% of the job is matching two lists that should agree but don't — books vs GST portal, TDS deducted vs Form 26AS, vendor invoice vs GSTR-2B. Textbooks never show two lists.
- **Documentation & audit trail.** The answer isn't "₹1,80,000 TDS." It's "₹1,80,000, here is the challan CIN, here is the working, here is who approved it."
- **Tooling.** Real tax runs on Excel, TallyPrime/SAP, the GST and TRACES portals, and increasingly Power Query/SQL — none of which appear in a syllabus.

Employers see thousands of candidates who can quote a section and zero who can hand back a clean reconciliation by 5 PM. That scarcity is your paycheck.

What "proficient" looks like

The concrete bar. A job-ready person can, **unaided**:

1. Take a month's sales and purchase data in Excel and produce a GSTR-3B summary (output tax, eligible ITC, net payable) with formulas, not by hand.
2. Reconcile the purchase register against GSTR-2B and produce a list of mismatched invoices with the *reason* (missing, wrong GSTIN, wrong amount, wrong period).
3. Compute TDS on a batch of vendor invoices, pick the correct section (194C vs 194J vs 194Q), and generate the deposit figure per section.
4. Read a compliance calendar and, on any given day, say what is due and whether it's done.
5. Pass a payment for release only after confirming GST is claimable and TDS is deducted — i.e., protect the company from disallowance.

If you can do these five, you clear the practical test for almost any India accounts/tax role.

Hands-on: how to actually do it

1. Build the compliance calendar (the core artifact)

This is the single most job-defining table. Memorize its shape.

Due date	Compliance	Form	Period	Applies to
7th	TDS/TCS deposit	Challan ITNS-281	Prev. month	All deductors (7th, but 30 Apr for March)
11th	GST outward supplies	GSTR-1	Prev. month	Monthly filers
13th	GST outward (QRMP)	IFF	Prev. month	Quarterly filers
20th	GST summary + payment	GSTR-3B	Prev. month	Monthly filers
25th	GST payment (QRMP)	PMT-06	Prev. month	Quarterly filers
15th (Jun/Sep/Dec/Mar)	Advance tax	Challan 280	Quarter	Companies & taxpayers
31 Jul (Q1)/31 Oct/31 Jan/31 May	TDS return	24Q/26Q	Quarter	Deductors

Excel formula to flag what's due and overdue against today's date:

```
=IF([@Done]="Yes", "✓ Done",  
    IF([@DueDate]<TODAY(), "⚠ OVERDUE",  
        IF([@DueDate] ≤ TODAY()+3, "DUE SOON", "")))
```

Days remaining, with weekend awareness:

```
=NETWORKDAYS(TODAY(),[@DueDate])-1
```

2. TDS section picker (stop guessing)

```
=XLOOKUP([@Nature], Sections[Nature], Sections[Section], "REVIEW")
```

TDS amount with threshold logic (194J professional, threshold ₹30,000, rate 10%):

```
=IF([@YTDPayment]+[@Invoice] > 30000, ROUND([@Invoice]*10%, 0), 0)
```

3. GST output tax and net payable

```
Output tax    =SUMIFS(Sales[TaxAmt], Sales[Type], "Taxable")
Eligible ITC  =SUMIFS(Purch[TaxAmt], Purch[ITCEligible], "Yes")
Net payable   =MAX(OutputTax-EligibleITC, 0)
```

4. GSTR-2B reconciliation (the interview favourite) — Power Query merge

Load `PurchaseRegister` and `GSTR2B` as tables, then in Power Query:

```
= Table.NestedJoin(PurchaseRegister, {"GSTIN", "InvNo"},
                  GSTR2B, {"GSTIN", "InvNo"},
                  "Match", JoinKind.LeftOuter)
```

Expand, then classify:

```
=IF([@Match]="","Not in 2B - hold ITC",
    IF(ROUND([@BookTax],0)<>ROUND([@2BTax],0),"Value mismatch","Matched"))
```

5. The journal entries you'll actually pass

Vendor bill with GST input and TDS deducted (professional fee ₹1,00,000 + 18% GST, TDS @10%):

Account	Dr (₹)	Cr (₹)
Professional Fees (expense)	1,00,000	
Input CGST	9,000	
Input SGST	9,000	
To Vendor A/c		1,08,000
To TDS Payable (194J)		10,000

On depositing TDS:

Account	Dr (₹)	Cr (₹)
TDS Payable (194J)	10,000	
To Bank		10,000

6. TallyPrime / portal click-paths

- **Record GST purchase:** Gateway of Tally → Vouchers → F9 (Purchase) → select party → item → GST ledgers auto-populate if configured.
- **File GSTR-1:** Gateway → Display More Reports → GST Reports → GSTR-1 → export JSON → gst.gov.in → Returns Dashboard → select period → GSTR-1 → upload JSON → Submit → File with DSC/EVC.
- **Deposit TDS:** incometax.gov.in → e-Pay Tax → select 281 → Company/Non-company, section code → pay → save challan CIN.

Worked example / mini-project

Scenario: You run compliance for *Nova Traders Pvt Ltd*, June 2026.

Sales (all intra-state, 18%):

Invoice	Taxable (₹)	GST (₹)
S-101	5,00,000	90,000
S-102	3,00,000	54,000
Total	8,00,000	1,44,000

Purchases:

Invoice	Taxable (₹)	GST (₹)	In GSTR-2B?
P-201 (goods)	4,00,000	72,000	Yes
P-202 (services)	1,00,000	18,000	No

Step 1 — ITC: Only invoices reflected in GSTR-2B are claimable (Rule 36(4)/Sec 16). P-202 is not in 2B → hold ₹18,000. Eligible ITC = **₹72,000**.

Step 2 — GSTR-3B net GST: Output 1,44,000 – ITC 72,000 = **₹72,000 payable** by 20 Jul via GSTR-3B; pay via PMT-06/cash ledger.

Step 3 — TDS: P-202 is a professional service, ₹1,00,000 > ₹30,000 threshold → 194J @10% = **₹10,000 TDS** to deposit by 7 Jul (Challan 281). Vendor is paid ₹1,08,000 – ₹10,000 = ₹98,000.

Step 4 — Calendar check on 5 Jul:

Due	Task	Status
7 Jul	Deposit TDS ₹10,000	DUE SOON
11 Jul	File GSTR-1 (₹8,00,000 sales)	Pending
20 Jul	GSTR-3B, pay ₹72,000	Pending

Reproduce this in one Excel sheet: a Sales tab, a Purchase tab with an "In2B" column, and a Calendar tab using the flag formula above. That workbook is a portfolio piece.

How it's tested

Interview questions (verbal): - "Walk me through the GST monthly compliance cycle and every due date." - "A vendor invoice is in your books but not in GSTR-2B. What do you do?" - "Difference between 194C, 194J and 194Q — and which rate?" - "What happens if you deduct TDS but pay the vendor without depositing it?" (Answer: 30% expense disallowance u/s 40(a)(ia) until deposited.)

Practical/assessment tests (what actually decides it): - **Timed Excel test (30–45 min):** Given a raw sales+purchase dump, produce GSTR-3B output tax, eligible ITC, and net payable using formulas. They watch whether you use `SUMIFS` / `XLOOKUP` or manually add — manual = reject. - **The reconciliation case:** Two files (purchase register + GSTR-2B) that don't tie. Deliver a mismatch list with reasons. This is the single most common practical screen. - **"Close the month" case:** A trial balance and a stack of pending items; book the TDS/GST provisions and hand back a clean set.

Common mistakes & how pros avoid them

Mistake	How pros avoid it
Claiming ITC not in GSTR-2B	Reconcile 2B before filing 3B; hold unmatched ITC, don't claim on faith
Paying vendor before deducting TDS	Gate: no payment released until TDS field is filled — protects against 40(a)(ia)
Treating tax as a computation, not a calendar	Maintain a live calendar; the deadline is the deliverable
No documentation	Save every challan CIN, ARN, and working; "trust me" fails an audit
Hard-coding rates in cells	Keep a rate/section master table and <code>XLOOKUP</code> into it — one place to update
Manual copy-paste recon	Use Power Query merge; it's repeatable and leaves an audit trail
Missing the March exception	TDS for March is due 30 April , not 7 April

Learn-it roadmap & resources

Realistic time-to-proficiency: 8–12 weeks of deliberate practice alongside study.

- **Weeks 1–2:** Build the compliance calendar from scratch in Excel. Learn `SUMIFS` , `XLOOKUP` , `NETWORKDAYS` , `IF` .
- **Weeks 3–4:** GST mechanics hands-on — free-play in the [GST portal sandbox](#), file dummy GSTR-1/3B. Read CBIC's GST flyers.
- **Weeks 5–6:** TDS — sections, thresholds, TRACES portal, Form 26AS reading. Deposit a test challan on the income-tax portal.
- **Weeks 7–8:** Power Query reconciliation; automate the 2B match.
- **Weeks 9–12:** Do the mini-project monthly with fresh numbers; add TallyPrime.

Resources: - Free: CBIC GST portal help, income-tax e-filing portal guides, ClearTax/TaxGuru blogs, ICAI study material (you already have it). - Paid/high-ROI: TallyPrime with GST certificate; ClearTax or Zoho Books trial for hands-on filing; Microsoft Excel/Power Query courses. - Certifications that signal job-readiness: **TallyPrime GST**, ICAI's practical GST/TDS courses, and your CA-Inter itself.

Quick-reference

Due dates (monthly filer): TDS deposit 7th · GSTR-1 11th · GSTR-3B 20th · TDS return end of month after quarter · Advance tax 15 Jun/Sep/Dec/Mar.

Key TDS sections:

Section	Nature	Rate	Threshold (₹)
194C	Contractor	1% (ind/HUF) / 2%	30,000 single / 1,00,000 aggregate
194J	Professional/technical	10% (2% technical)	30,000
194Q	Purchase of goods	0.1%	50,00,000
194H	Commission/brokerage	5%	15,000

Core formulas:

```
=XLOOKUP(nature, Sections[Nature], Sections[Section], "REVIEW")
=SUMIFS(Sales[Tax], Sales[Type], "Taxable")
=MAX(OutputTax-EligibleITC, 0)
=IF([@Done]="Yes", "✓", IF([@Due]<TODAY(), "OVERDUE", ""))
```

Golden rules: ITC only if in GSTR-2B · Deduct TDS before paying vendor · The deadline is the deliverable · Keep the challan/ARN as proof.

GST in Practice I: Registration, Invoicing, E-Invoice & E-Way Bill

What it is & where it's used

Every business in India with taxable turnover above the threshold lives inside the GST machine: it registers, raises tax invoices, pushes those invoices to the government's Invoice Registration Portal (IRP) to get an IRN and QR code, and generates an e-way bill before goods move. These four steps are the daily plumbing of the finance-tax function. Get one wrong and the buyer loses input tax credit (ITC), the truck gets detained, or a notice lands.

Roles that do this hands-on:

- **Accounts/AP-AR executives** — raise sales invoices, book purchases, match ITC.
- **GST/Indirect-tax analysts** — registration amendments, e-invoicing exceptions, reconciliations.
- **Finance controllers & CA-firm article/audit staff** — sign off that the invoice-to-e-way-bill chain is compliant.
- **ERP/Tally implementers** — configure the IRP/e-way-bill API integration.

If you can register an entity, cut a compliant tax invoice, generate the IRN, and produce the e-way bill without asking anyone — you are doing what a company actually pays a tax executive for.

The gap: why companies want this (and college didn't teach it)

An MBA or CA-Inter syllabus teaches you *what* Section 22 says about registration thresholds and *what* Rule 46 lists as mandatory invoice fields. It does **not** put you on the GST portal at `gst.gov.in`, hand you a login, and say "register this Private Limited company by end of day." The gap is procedural muscle memory:

College teaches	Job needs
"Threshold is ₹40L/₹20L"	Which state, goods vs services, which ARN to track
"Invoice must have GSTIN, HSN, tax rate"	The exact 16-char invoice numbering rule, place-of-supply logic for IGST vs CGST+SGST
"E-invoicing is mandatory over a limit"	The ₹5 crore AATO trigger, generating IRN in Tally/IRP, handling a rejected payload
"E-way bill for movement of goods"	₹50,000 rule, Part-A vs Part-B, validity by distance, extending an expired bill

Employers pay for the person who has *clicked the buttons*, seen the error `2172: Duplicate IRN`, and knows the fix. That is unteachable from a textbook.

What "proficient" looks like

A job-ready person can, unaided:

1. **Register** a new GSTIN end-to-end (TRN → Part-B → ARN → GSTIN) and read the 15-digit GSTIN structure.
2. Cut a **tax invoice** that survives an audit: correct series, HSN/SAC, place of supply, IGST vs CGST+SGST split, reverse-charge flag.

3. Generate an **e-invoice** (IRN + signed QR) from the ERP and reconcile IRNs against the GSTR-1 auto-population.
4. Generate and **manage an e-way bill**: Part-A + Part-B, pick the right transport mode, extend/cancel, and know the distance-to-validity table.
5. Know **who is exempt** from e-invoice (SEZ units as suppliers exempt, banks, transporters) and e-way bill (goods < ₹50k, non-motorised transport).

Hands-on: how to actually do it

A. GST Registration (portal click-path)

gst.gov.in → Services → Registration → New Registration

Part-A: Select "Taxpayer" → State → Legal Name (as per PAN) → PAN → email + mobile
→ OTP verification → TRN (Temporary Reference Number) generated

Part-B (login with TRN): 10 tabs

Business Details → Promoters/Partners → Authorized Signatory
→ Principal Place of Business → Additional Places → Goods & Services (HSN/SAC)
→ Bank Accounts (can add post-registration) → State Specific → Verification

Submit with DSC (mandatory for Companies/LLP) or EVC/e-Sign
→ ARN generated → track at Services > Track Application Status
→ GSTIN + registration certificate (Form REG-06) in ~7 working days

Decode the GSTIN 29ABCDE1234F1Z5 :

Chars	Meaning
1-2	State code (29 = Karnataka)
3-12	PAN of entity
13	Entity number of same PAN in state
14	Z by default
15	Check-digit

Excel to validate GSTIN length + embedded PAN:

```
=IF(AND(LEN(A2)=15, MID(A2,3,10)=B2), "Valid structure", "Check GSTIN")
```

(A2 = GSTIN, B2 = PAN)

B. Tax invoice — mandatory contents (Rule 46)

A compliant B2B tax invoice must carry: supplier name/address/**GSTIN**; consecutive **invoice number** (≤16 chars, alphanumeric, unique per FY); date; recipient GSTIN + name; **place of supply** (for inter-state); **HSN/SAC**; description; qty; taxable value; **tax rate & amount split into CGST/SGST or IGST**; reverse-charge flag; signature/DSC.

IGST vs CGST+SGST decision (the logic that trips freshers):

```
' C2 = supplier state code, D2 = place-of-supply state code, E2 = taxable value, F2 = rate%
IGST  =IF(C2<>D2, E2*F2, 0)
CGST  =IF(C2=D2, E2*F2/2, 0)
SGST  =IF(C2=D2, E2*F2/2, 0)
```

Journal entry — outward B2B sale, ₹1,00,000 + 18% IGST (inter-state):

Account	Dr (₹)	Cr (₹)
Debtor / Customer A	1,18,000	
Sales		1,00,000
Output IGST		18,000

Intra-state (18% = 9% CGST + 9% SGST):

Account	Dr (₹)	Cr (₹)
Debtor	1,18,000	
Sales		1,00,000
Output CGST		9,000
Output SGST		9,000

C. E-invoicing (IRN + QR)

Applicable when **Aggregate Annual Turnover (AATO) > ₹5 crore** in any FY since 2017-18. You do **not** create the invoice on the IRP — your ERP generates the JSON, posts it to the IRP, and gets back the **IRN** (64-char hash) + **signed QR** + digitally signed invoice.

TallyPrime path:

```
Gateway of Tally → Alter → GST Details → set "e-Invoicing applicable: Yes"
Voucher entry (F8 Sales) → Save → prompt "Provide GST details?" → Yes
Exchange → Send for e-Invoicing → IRP login (via GSP/API) → IRN + QR fetched back
Print → invoice now shows IRN + QR
```

IRP portal (manual / bulk): einvoice1.gst.gov.in → Login → e-Invoice → Bulk Upload → upload JSON via offline tool → download IRN file.

Python to build a minimal e-invoice payload (concept for API integration):

```
import requests, json

payload = {
    "Version": "1.1",
    "TranDtls": {"TaxSch": "GST", "SupTyp": "B2B", "RegRev": "N"},
    "DocDtls": {"Typ": "INV", "No": "INV/2026/0042", "Dt": "03/07/2026"},
    "SellerDtls": {"Gstin": "29ABCDE1234F1Z5", "LglNm": "Acme Pvt Ltd",
        "Addr1": "MG Road", "Loc": "Bengaluru", "Pin": 560001, "Stcd": "29"},
    "BuyerDtls": {"Gstin": "27PQRS5678K1Z2", "LglNm": "Beta LLP", "Pos": "27",
        "Addr1": "Andheri", "Loc": "Mumbai", "Pin": 400053, "Stcd": "27"},
    "ItemList": [{"SlNo": "1", "PrdDesc": "Steel bracket", "HsnCd": "7308",
        "Qty": 100, "Unit": "NOS", "UnitPrice": 1000, "TotAmt": 100000,
        "AssAmt": 100000, "GstRt": 18, "IgstAmt": 18000, "TotItemVal": 118000}],
    "ValDtls": {"AssVal": 100000, "IgstVal": 18000, "TotInvVal": 118000}
}

headers = {"Authorization": auth_token, "Content-Type": "application/json",
    "user_name": user, "Gstin": "29ABCDE1234F1Z5"}
r = requests.post("https://einv-apisandbox.nic.in/eivital/v1.04/invoice",
    headers=headers, data=json.dumps(payload))
print(r.json()["Data"]["Irn"], r.json()["Data"]["SignedQRCode"])
```

D. E-way bill

Required when **consignment value > ₹50,000** and goods move (inter-state, or intra-state where the state mandates). Two parts:

- **Part-A:** GSTIN of supplier/recipient, invoice no/date, HSN, value, place-of-dispatch/delivery pincodes.
- **Part-B:** transporter ID, vehicle number / transport doc number.

Portal path ewaybillgst.gov.in :

```
Login → e-Way Bill → Generate New
Transaction Type: Outward → Sub-type: Supply
Doc type: Tax Invoice → No + Date
From (auto from GSTIN) → To (buyer GSTIN + pincode)
Item: HSN, qty, taxable value, tax rate → system computes value
Part-B: Mode = Road → Vehicle No (KA01AB1234) → Approx distance (km)
Submit → 12-digit EWB number + validity generated
```

Validity table (regular cargo):

Distance	Validity
Up to 200 km	1 day
Every additional 200 km (or part)	+1 day

Expiring bill → **Extend** under e-Way Bill > Extend Validity (only within 8 hrs before/after expiry).

Worked example / mini-project

Scenario: Acme Pvt Ltd (GSTIN 29..., Karnataka, AATO ₹12 cr) sells 100 steel brackets @ ₹1,000 to Beta LLP (Mumbai) on 03-Jul-2026. Distance 980 km by road, vehicle KA01AB1234.

Reproduce the full chain:

1. **Invoice value:** $100 \times ₹1,000 = ₹1,00,000$ taxable. Inter-state → **IGST 18% = ₹18,000**. Invoice total **₹1,18,000**. Invoice no INV/2026/0042 .
2. **E-invoice:** AATO > ₹5 cr → mandatory. Post the JSON above to IRP → receive IRN + QR. The IRN auto-populates GSTR-1, so you do **not** re-key this invoice in GSTR-1.
3. **E-way bill:** value ₹1,18,000 > ₹50,000 → mandatory. Part-A from invoice; Part-B vehicle KA01AB1234. Distance 980 km → validity = $\text{ceil}(980/200) = 5$ days.
4. **Books (Acme, seller):**

Account	Dr (₹)	Cr (₹)
Beta LLP (Debtor)	1,18,000	
Sales – Steel brackets		1,00,000
Output IGST		18,000

5. **Buyer (Beta LLP) claims ITC** only because Acme's IRN flowed to GSTR-1 → GSTR-2B. Beta's entry:

Account	Dr (₹)	Cr (₹)
Purchases	1,00,000	
Input IGST	18,000	
Acme Pvt Ltd (Creditor)		1,18,000

Reconciliation check in Excel — match IRN invoices to GSTR-2B:

```
=IF(COUNTIF(GSTR2B[InvNo], [@InvNo])>0, "Matched", "MISSING in 2B")
```

How it's tested

Interview questions: - "Turnover ₹6 cr — is e-invoicing mandatory? From when?" (Yes, > ₹5 cr.) - "Karnataka seller, Karnataka buyer — CGST+SGST or IGST?" (CGST+SGST; place of supply = Karnataka.) - "Consignment ₹45,000 — e-way bill needed?" (No, below ₹50k — unless state rule or handicraft exception.) - "Buyer says no ITC showing — where do you look?" (Did seller generate IRN / file GSTR-1 → check GSTR-2B.) - "Vehicle broke down mid-transit, bill expiring — what do you do?" (Extend validity; update Part-B with new vehicle.)

Practical assessment companies give: - A timed task: "Here's a PO — raise a compliant tax invoice in Tally/Excel with correct tax split." - "Register this dummy entity on the GST portal sandbox and screenshot the ARN." - "Given this invoice JSON that IRP rejected with error 2172 — fix it." (Duplicate IRN → invoice

already registered; don't resubmit.) - A reconciliation screen: match a purchase register against a GSTR-2B extract and flag missing ITC.

Common mistakes & how pros avoid them

Mistake	Fix / pro habit
Invoice number > 16 chars or resets mid-year	Keep series ≤ 16 alphanumeric, unique per FY; document the series scheme
Charging IGST for intra-state (or vice versa)	Always derive from place of supply , not billing address
Generating e-way bill but skipping e-invoice (or vice versa)	Both are separate obligations; build both into the ERP save flow
Resubmitting a rejected IRN payload blindly	Read the error code — 2172 = duplicate, don't retry; 2150 = invalid GSTIN
Letting e-way bill expire in transit	Track validity; extend within the 8-hr window before/after expiry
Assuming ITC is automatic	ITC depends on seller filing GSTR-1; reconcile against GSTR-2B monthly
Wrong HSN digits (4 vs 6 vs 8)	AATO > ₹5 cr needs 6-digit HSN ; below, 4-digit for B2B

Learn-it roadmap & resources

Time to proficiency: ~3-4 weeks of hands-on practice alongside a real or dummy books set.

Week	Focus
1	Register a dummy entity on GST portal; decode GSTINs; Rule 46 invoice fields
2	Cut 20 invoices in TallyPrime with correct tax splits and journal entries
3	E-invoicing sandbox (<code>einv-apisandbox.nic.in</code>) — generate IRNs, handle rejects
4	E-way bills end-to-end; monthly GSTR-2B reconciliation in Excel

Resources: - GSTN official user manuals — `tutorial.gst.gov.in` (free, authoritative). - E-invoice & e-way bill sandbox portals for API practice. - ICAI GST background material (free for students). - TallyPrime GST self-learning modules; ClearTax / IRIS blogs for edge cases. - **Certification:** ICAI Certificate Course on GST; NACIN GST practitioner path; MSME GST practitioner courses.

Quick-reference

Item	Rule of thumb
Registration threshold	₹40L goods / ₹20L services (₹20L/₹10L special-category states)
GSTIN	15 char: 2 state + 10 PAN + 1 entity + Z + check-digit
E-invoice trigger	AATO > ₹5 crore in any FY since 2017-18
E-invoice output	64-char IRN + signed QR (from IRP, not manually created)
E-way bill trigger	Consignment value > ₹50,000
EWB validity	1 day / 200 km, +1 day per extra 200 km
Intra-state tax	CGST + SGST (equal split)
Inter-state tax	IGST (= CGST + SGST rate)
ITC source	GSTR-2B (depends on seller's GSTR-1)
Key portals	gst.gov.in, einvoice1.gst.gov.in, ewaybillgst.gov.in
Common error 2172	Duplicate IRN — invoice already registered, do not resubmit
Invoice number	≤16 chars, alphanumeric, unique per FY (Rule 46)
HSN digits	6-digit if AATO > ₹5 cr, else 4-digit (B2B)

GST in Practice II: Returns & ITC

What it is & where it's used

Every registered business in India files GST returns monthly or quarterly. Three documents do the heavy lifting:

- **GSTR-1** — the outward supply return. You declare every sales invoice, credit/debit note, and export. This is what *feeds your customers' ITC*.
- **GSTR-3B** — the summary self-assessment return. You compute output tax, claim eligible ITC, and *pay the net tax*. This is where money actually moves.
- **GSTR-2B** — an auto-drafted, static ITC statement generated by the portal on the 14th. It tells you the *maximum ITC you're legally allowed* to claim, based on what your suppliers filed.

The job is: file GSTR-1 accurately, reconcile purchase books against GSTR-2B, claim only eligible and matched ITC, set it off correctly (IGST → CGST → SGST rules), and pay the balance in cash.

Who does this: accounts executives, GST/indirect-tax analysts, AP/AR teams, tax consultants at CA firms, controllers, and anyone in a finance role at a company with a GSTIN. In interviews for accounts/tax roles in India, "walk me through 3B vs 2B reconciliation" is a near-guaranteed question.

The gap: why companies want this (and college didn't teach it)

An MBA teaches you *what* GST is — dual tax, value-added chain, seamless credit. It never makes you sit with a purchase register and a 2B and find the ₹18,000 of ITC you can't claim because a vendor forgot to file. That gap is expensive: over-claimed ITC triggers interest at 18% p.a. under Section 50, plus penalties. Under-claimed ITC is working capital left on the table.

Companies pay for the person who can: 1. Turn a messy sales ledger into a valid GSTR-1 JSON without errors. 2. Reconcile books vs 2B and produce a *vendor follow-up list*. 3. Apply the set-off order correctly so the electronic cash ledger payment is exactly right — not a rupee more.

College gives theory; the employer needs someone who won't cause a notice.

What "proficient" looks like

A job-ready person can, unaided:

- Prepare GSTR-1 from an invoice dump, split correctly into B2B, B2C (large/small), exports, credit notes, and HSN summary.
- Download GSTR-2B, run a reconciliation in Excel that flags **matched / mismatched / missing-in-books / missing-in-2B** lines.
- Decide ITC eligibility: block Section 17(5) items (cars, personal use, club membership, works contract for immovable property, CSR), apply Rule 42/43 reversals for exempt supplies.
- Apply the set-off hierarchy and compute the exact cash payable.
- Pass the correct journal entries and file 3B so the cash ledger, credit ledger, and books all tie.

Hands-on: how to actually do it

Step 1 — GSTR-1 structure

GSTR-1 is filed table-wise. The tables you touch most:

Table	What goes in it
4A/4B	B2B invoices (registered buyers)
5A	B2C Large (inter-state, invoice > ₹1 lakh)
6A	Exports
7	B2C Others (consolidated, rate-wise)
9B	Credit/Debit notes
12	HSN-wise summary

Portal path: Returns Dashboard → select period → GSTR-1 → Prepare Online (or upload JSON via Offline Tool). Filing is by the **11th** of next month (monthly) or **13th** for QRMP quarterly.

Step 2 — ITC set-off order (Section 49A + Rule 88A)

This is the single most-tested computation. IGST credit must be **fully exhausted first**, and can be used against any head. CGST credit cannot touch SGST and vice-versa.

Order of utilisation:

1. IGST credit → pay IGST, then CGST, then SGST (in that order)
2. CGST credit → pay CGST, then IGST
3. SGST credit → pay SGST, then IGST

Rule: CGST credit can NEVER pay SGST liability (and vice-versa)

Step 3 — GSTR-2B reconciliation in Excel

Load purchase register (books) on one sheet, GSTR-2B download on another. Match on GSTIN + Invoice No.

```
' Match flag: does this books-invoice appear in 2B?
=IF(ISNUMBER(MATCH(A2&"|"&B2, TwoB!$A$2:$A$5000, 0)), "In 2B", "Missing in 2B")

' Tax difference between books and 2B (using XLOOKUP)
=LET(
    key, A2&"|"&B2,
    b2b_tax, XLOOKUP(key, TwoB_Key, TwoB_TotalTax, 0),
    books_tax, F2,
    books_tax - b2b_tax)
```

Build a status column with SUMIFS to reconcile totals:

```
' Total ITC available per 2B for the period
=SUMIFS(TwoB!$H:$H, TwoB!$D:$D, ">="&DATE(2025,4,1), TwoB!$D:$D, "<="&DATE(2025,4,30))
```

Step 4 — Python reconciliation (for volume)

```
import pandas as pd

books = pd.read_excel("purchase_register.xlsx")
twob = pd.read_excel("gstr2b.xlsx")

for df in (books, twob):
    df["key"] = df["gstin"].str.strip() + "|" + df["invoice_no"].str.strip()

merged = books.merge(twob, on="key", how="outer",
                     suffixes=("_books", "_2b"), indicator=True)

def status(r):
    if r["_merge"] == "left_only": return "Missing in 2B (chase vendor)"
    if r["_merge"] == "right_only": return "In 2B, not in books (book it)"
    if abs(r["tax_books"] - r["tax_2b"]) > 1: return "Tax mismatch"
    return "Matched"

merged["status"] = merged.apply(status, axis=1)
eligible_itc = merged.loc[merged.status == "Matched", "tax_2b"].sum()
print("Claimable ITC:", round(eligible_itc, 2))
merged.to_excel("recon_output.xlsx", index=False)
```

Step 5 — Journal entries

Recording a purchase with ITC (intra-state, 18% = 9% CGST + 9% SGST):

Account	Dr	Cr
Purchases / Expense A/c	1,00,000	
Input CGST A/c	9,000	
Input SGST A/c	9,000	
To Creditor / Bank		1,18,000

Set-off and payment at month end:

Account	Dr	Cr
Output CGST A/c	15,000	
Output SGST A/c	15,000	
To Input CGST A/c		9,000
To Input SGST A/c		9,000
To Electronic Cash Ledger (Bank)		12,000

Worked example / mini-project

Scenario — "Nord Traders Pvt Ltd", April 2025. Reproduce this end to end.

Output tax (from GSTR-1):

Supply	Taxable value	IGST	CGST	SGST
Inter-state B2B	10,00,000	1,80,000	–	–
Intra-state B2B	8,00,000	–	72,000	72,000
Total output		1,80,000	72,000	72,000

ITC per books: IGST ₹1,20,000, CGST ₹90,000, SGST ₹90,000 — total ₹3,00,000.

But 2B reconciliation flags: - One vendor (invoice for ₹50,000 + ₹9,000 CGST + ₹9,000 SGST) **not in 2B** → not filed by supplier. Reverse ₹18,000. - A ₹15,000 IGST invoice is for a **motor car** → blocked u/s 17(5). Reverse ₹15,000.

Eligible ITC: IGST = 1,20,000 – 15,000 = **1,05,000**; CGST = 90,000 – 9,000 = **81,000**; SGST = 90,000 – 9,000 = **81,000**.

Set-off (IGST first):

Head	Output	IGST credit used	Own-head credit	Cash
IGST	1,80,000	1,05,000	–	75,000
CGST	72,000	–	72,000 (of 81k)	0
SGST	72,000	–	72,000 (of 81k)	0

IGST credit (₹1,05,000) is fully consumed against IGST liability, leaving **₹75,000 IGST payable in cash**. CGST and SGST are each covered by own-head credit (₹72,000 used, ₹9,000 each carried forward).

Cash to pay via challan (PMT-06): ₹75,000. Credit carried forward: CGST ₹9,000 + SGST ₹9,000.

3B filing path: GSTR-3B → Table 3.1 output → Table 4 ITC (4A auto from 2B, 4B reversals for the ₹15k car + ₹18k unfiled) → Table 6.1 payment → Create Challan → pay → File with DSC/EVC.

How it's tested

Interview questions: - "Explain the IGST-first set-off rule. Can CGST credit pay SGST?" (No.) - "A vendor's invoice is in your books but not in 2B — do you claim ITC?" (No — Rule 36(4)/Section 16(2)(aa): ITC only if it

appears in 2B.) - "Name five Section 17(5) blocked credits." - "Difference between 2A and 2B?" (2A is dynamic/real-time; 2B is static, generated on the 14th — 2B is the basis for claim.) - "Due dates for GSTR-1 and 3B under QRMP?"

Practical assessment: companies hand you a purchase register + a 2B extract and ask you to (a) reconcile in Excel within 30–45 minutes, (b) list vendors to follow up, (c) state the exact claimable ITC and cash payable. Consulting firms give a "prepare this 3B" case with blocked credits hidden in the data to see if you catch them.

Common mistakes & how pros avoid them

Mistake	Fix
Claiming ITC not in 2B	Claim only matched-in-2B lines; keep a "provisional/chase" bucket separately
Ignoring Section 17(5) blocks	Maintain a tagged expense-code list (car, food, club, CSR) auto-flagged
CGST↔SGST cross set-off	Lock a set-off template; never let one head pay the other
GSTR-1 vs 3B mismatch	Reconcile 3B Table 3.1 total to GSTR-1 before filing — a common notice trigger
Matching only on invoice no.	Always match on GSTIN + invoice no. (invoice numbers repeat across vendors)
Forgetting Rule 42/43 reversal	If you have exempt supplies, reverse common-credit proportionately
Late filing interest	Pay within due date; interest u/s 50 is 18% p.a. on cash-paid portion

Pros reconcile *before* filing, not after a notice. They keep an audit trail: books → 2B → adjustments → 3B, each tying to the next.

Learn-it roadmap & resources

Time to proficiency: 4–6 weeks of hands-on practice if you already know GST basics.

- Week 1–2: GSTR-1 structure, file 2–3 dummy returns on the GST portal sandbox / offline tool.
- Week 3: Build a reusable Excel 2B reconciliation template (XLOOKUP + SUMIFS + status column).
- Week 4: Master set-off logic and blocked credits; do 10 worked computations.
- Week 5–6: Do a full month-end close for a sample company end-to-end.

Resources: - GST portal (gst.gov.in) — free Returns Offline Tool and help manuals. - CBIC GST Flyers + Section 16, 17(5), 49, Rule 36(4)/42/43 (free, authoritative). - ICAI Indirect Tax study material (free for students). - TallyPrime / Zoho Books / ClearTax GST — practice the automated recon flow. - Certifications: ICAI Certificate Course on GST; GSTP (Goods & Services Tax Practitioner) exam via NACIN.

Quick-reference

Item	Detail
GSTR-1 due	11th (monthly) / 13th (QRMP quarterly)
GSTR-3B due	20th (monthly); 22nd/24th staggered (QRMP)
GSTR-2B generated	14th of next month (static)
ITC condition	Must appear in 2B (Sec 16(2)(aa)) + invoice + receipt of goods/services + tax paid + 180-day payment rule
Set-off order	IGST first (any head) → CGST (CGST then IGST) → SGST (SGST then IGST); no CGST→SGST
Blocked ITC (17(5))	Motor vehicles ≤13 seats, food/beverage, club, health/life insurance (unless mandated), works contract for immovable property, personal use, CSR, goods lost/stolen/gifted
Interest (Sec 50)	18% p.a. on late/short cash payment; 24% on excess ITC utilised
ITC time limit	Earlier of 30th Nov following FY-end or annual return date
Key Excel	<code>=XLOOKUP(gstin&" "&inv, 2b_key, 2b_tax, 0) ; =SUMIFS()</code> for period totals
Payment challan	Form PMT-06 → Electronic Cash Ledger → offset in 3B Table 6.1

GST in practice III: Annual Return & Notices

What it is & where it's used

The GST **annual return (GSTR-9)** and the **reconciliation statement (GSTR-9C)** are the year-end "close" of the GST cycle. Every month or quarter you filed GSTR-1 (outward supplies) and GSTR-3B (summary + tax payment); the annual return rolls all of that into one consolidated filing per GSTIN per financial year, reconciled against your books.

Beyond the return, GST is now a **notice-heavy regime**. The department runs automated matching (GSTR-1 vs 3B, 3B vs 2B, e-way bills vs sales, e-invoice vs GSTR-1) and throws out scrutiny notices — **ASMT-10** (scrutiny discrepancy), **DRC-01A / DRC-01** (demand), **DRC-03** (voluntary payment), plus ADT-01 for departmental audit. Knowing how to read, reconcile and *reply* to these is a core, billable skill.

Roles that need this: GST/indirect-tax executives, accounts payable/receivable leads doing month-end and year-end, tax analysts in a Big-4 or mid-tier firm, finance managers signing off the annual return, and anyone in a consulting practice handling client compliance. In an audit/consulting firm, "can you draft an ASMT-10 reply and finalise 9C" is a direct hiring criterion.

The gap: why companies want this (and college didn't teach it)

College teaches GST *law* — sections, definitions, the constitutional backstory. It does **not** teach you to:

- Open a GSTR-9 offline utility, map ledger balances into 17 tables, and explain a **Table 8** ITC difference.
- Reconcile **turnover as per books vs turnover as per GSTR-9** and defend the delta (unbilled revenue, credit notes, schedule-III items, cross-charge).
- Read a system-generated ASMT-10 that says "ITC in 3B exceeds 2B by ₹4,32,118" and produce a line-item reconciliation instead of panicking.
- Decide *when to pay via DRC-03* and *when to contest*, and draft the covering reply.

Employers pay for the person who closes the loop: books → returns → reconciliation → notice reply → resolution. That end-to-end confidence is the gap.

What "proficient" looks like

A job-ready person can, unaided:

1. **File GSTR-9** end-to-end: pull auto-populated data, correct Tables 4–9, 10–14, and 17–18, and reconcile ITC (Table 6 vs Table 8).
2. **Prepare GSTR-9C:** reconcile turnover (Table 5), tax paid (Table 9), ITC (Table 12–14), and quantify any additional liability payable through DRC-03.
3. **Build a reconciliation working** in Excel that ties GSTR-1, 3B, 2B and books, with a clear "reason for difference" column.
4. **Respond to ASMT-10 within 30 days** with a reasoned reply (ASMT-11) plus annexures.
5. **Handle a DRC-01A/01:** agree-and-pay via DRC-03, or contest via DRC-06, knowing the limitation and pre-deposit rules.

Hands-on: how to actually do it

GSTR-9: portal click-path

GST Portal → Login → Services → Returns → Annual Return
→ Select FY → GSTR-9 "Prepare Online"
→ Download: (a) GSTR-9 System Computed Summary (PDF)
 (b) GSTR-1 Summary, (c) GSTR-3B Summary
→ Fill Tables 4–19 → Compute Liability → Pay any diff via DRC-03
→ File with DSC/EVC

Key tables and where numbers come from:

Table	Content	Source
4	Outward taxable supplies (B2B, B2C, exports, RCM)	GSTR-1
5	Exempt / nil / non-GST outward	GSTR-1
6	ITC availed (inputs / capital goods / services / RCM)	GSTR-3B
7	ITC reversed (Rule 42/43, 37, ineligible)	Books
8	ITC reconciliation: 2A/2B vs availed	Auto + books
9	Tax paid	GSTR-3B
10–14	Prior-year adjustments in next-year returns	GSTR-1/3B of Apr–Oct next FY
17–18	HSN summary outward / inward	Books

The core Excel reconciliation (3B vs 2B ITC — the #1 notice trigger)

Lay out one row per GSTIN of the supplier. Use `SUMIFS` to net books vs portal, then a reason column.

```
' Books ITC per supplier (from purchase register)
=SUMIFS(Books[ITC], Books[GSTIN], A2)

' 2B ITC per supplier (from downloaded GSTR-2B)
=SUMIFS(GSTR2B[ITC], GSTR2B[GSTIN], A2)

' Difference
=D2 - E2                                ' Books minus 2B

' Auto-tag the reason
=IFS( ABS(F2)<1, "Matched",
      F2>0,  "In books, not in 2B (supplier not filed / timing)",
      F2<0,  "In 2B, not in books (missed invoice / RCM)" )
```

To match a single invoice both ways, `XLLOOKUP` on a concatenated key:

```
=XLOOKUP(A2&B2, GSTR2B[GSTIN]&GSTR2B[InvNo], GSTR2B[TaxableValue], "NOT IN 2B")
```

SQL: pull the mismatch straight from your ERP

```
SELECT  b.supplier_gstin,
        SUM(b.igst + b.cgst + b.sgst)          AS itc_books,
        COALESCE(SUM(g.itc_total), 0)          AS itc_2b,
        SUM(b.igst + b.cgst + b.sgst)
        - COALESCE(SUM(g.itc_total), 0)        AS diff
FROM    purchase_register b
LEFT JOIN gstr2b g
      ON b.supplier_gstin = g.supplier_gstin
      AND b.invoice_no     = g.invoice_no
      AND b.fin_year       = '2024-25'
GROUP BY b.supplier_gstin
HAVING  ABS(SUM(b.igst + b.cgst + b.sgst) - COALESCE(SUM(g.itc_total),0)) > 1
ORDER BY ABS(diff) DESC;
```

Python: turnover recon for GSTR-9C Table 5

```
import pandas as pd

books = pd.read_excel("trial_balance_revenue.xlsx") # ledger-wise revenue
gstr9 = 24_50_00_000 # outward turnover per GSTR-9 Table 4/5

recon = pd.DataFrame([
    ("Turnover as per audited financials", books["amount"].sum()),
    ("Add: Unbilled revenue at year-end", -12_00_000), # not yet in GST
    ("Less: Credit notes not in books", -4_50_000),
    ("Add: Schedule III / non-GST supply", -8_00_000),
    ("Less: Cross-charge to branches", 15_00_000),
], columns=["particulars", "amount"])

recon.loc[len(recon)] = ("Turnover as per GSTR-9", recon["amount"].sum())
recon["check_vs_9"] = recon["amount"].iloc[-1] - gstr9 # should be ~0
print(recon.to_string(index=False))
```

Journal entry when 9C throws up extra liability

You pay short-paid GST through **DRC-03** (cash only, no ITC). Book it as:

Account	Dr	Cr
GST Expense / Prior-period tax (P&L)	₹50,000	
Interest on GST (P&L)	₹9,000	
To Bank (DRC-03 challan)		₹59,000

If it relates to reversed ITC:

Account	Dr	Cr
ITC Reversed – Expense	₹50,000	
To Input CGST/SGST/IGST		₹50,000

Responding to notices — the mechanics

Notice	Meaning	Your reply form	Deadline
ASMT-10	Scrutiny discrepancy	ASMT-11 (+ annexures)	30 days
DRC-01A	Pre-show-cause intimation	Part B of DRC-01A / DRC-03	~15 days
DRC-01	Show cause notice (demand)	DRC-06	30 days
DRC-03	<i>You pay voluntarily</i>	— (challan)	Anytime
ADT-01	Departmental audit notice	Produce records	As stated

Portal path to reply: [Services](#) → [User Services](#) → [View Additional Notices/Orders](#) → [View](#) → [Reply](#) .
Attach a signed PDF reconciliation as annexure.

Worked example / mini-project

Scenario — Acme Traders Pvt Ltd, FY 2024-25. Reconcile and respond to an ASMT-10.

Data:

Item	GSTR-3B (₹)	GSTR-2B (₹)	Books (₹)
ITC availed	42,00,000	39,50,000	41,80,000

The system issues **ASMT-10**: "ITC availed in GSTR-3B (₹42,00,000) exceeds ITC in GSTR-2B (₹39,50,000) by ₹2,50,000. Explain."

Step 1 — Build the bridge.

Reconciliation item	₹
ITC as per 2B	39,50,000
Add: RCM ITC (self-invoiced, not in 2B)	1,20,000
Add: Invoices filed by supplier in Apr-2025 2B (timing)	90,000
Add: Import IGST (from ICEGATE, not vendor 2B)	60,000
Explained ITC	42,20,000
ITC in 3B	42,00,000
Excess claimed to reverse	Nil (books ₹41,80,000; ₹20,000 already reversed)

Step 2 — Conclusion. The ₹2,50,000 gap is fully explained by RCM, import IGST and timing — all legitimate. Nothing to pay. A ₹20,000 ineligible item was already reversed in March-2025 3B.

Step 3 — File ASMT-11 attaching the above table plus RCM self-invoices, bill of entry, and the April 2B extract. Closing line: *"In view of the above reconciliation, the difference is fully explained and no further tax is payable. We request closure of proceedings."*

Step 4 — If ₹20,000 were NOT already reversed: pay via DRC-03 (Services → User Services → My Applications → Intimation of Voluntary Payment DRC-03 → Cause = Scrutiny), ₹20,000 tax + interest @18% p.a., and reference the ARN in the ASMT-11 reply.

How it's tested

Interview questions

- "Turnover per books is ₹50 Cr but GSTR-9 shows ₹48.5 Cr. Give me five reasons for the difference." (Unbilled revenue, credit notes, Schedule-III, cross-charge, financial-year cut-off / advances.)
- "Difference between Table 6 and Table 8 of GSTR-9?"
- "You get an ASMT-10 for 3B-vs-2B ITC excess. Walk me through your reply."
- "When do you use DRC-03 vs DRC-06?"
- "Is GSTR-9C still audited by a CA?" (Now self-certified since FY 2020-21; no mandatory CA audit, but a reconciliation statement is filed if turnover > ₹5 Cr.)

Practical assessment (very common) — you're handed three files (GSTR-1 summary, 3B summary, purchase register) and asked to:

1. Produce a 3B-vs-2B ITC reconciliation with a reason column (timed, ~45 min in Excel).
2. Draft a one-page ASMT-11 reply from a sample notice.
3. Fill Table 8 of GSTR-9 and state the eligible ITC.

Firms grade on whether your reconciliation *ties* and whether your reasons are defensible.

Common mistakes & how pros avoid them

- **Treating GSTR-9 as auto-filled.** The portal pre-fills, but *you* must correct Tables 6–8 and 17. Pros always download and re-derive.

- **Ignoring next-year adjustments (Tables 10–14).** Amendments and ITC of last FY claimed in Apr–Oct of the next FY must be reported here — most people miss it and create a false mismatch.
- **Reversing ITC on RCM/import just because it's not in 2B.** RCM and import IGST legitimately don't appear in 2B — never reverse them to "match".
- **Missing the 30-day ASMT-10 window.** No reply → best-judgment assessment (ASMT-13). Diarise every notice the day it lands.
- **Paying disputed demand via DRC-03 out of fear.** If you have a defensible position, contest via DRC-06; a DRC-03 payment can be read as admission.
- **Not reconciling e-invoice / e-way bill to GSTR-1.** The department does — a sales-vs-eway gap is a fresh notice waiting to happen.
- **Interest not computed.** Any short-paid tax carries 18% p.a.; forgetting it invites a follow-up demand.

Learn-it roadmap & resources

Time to proficiency: ~6–8 weeks part-time if you already know monthly GST.

Week	Focus
1–2	Master 3B-vs-2B and 1-vs-3B reconciliation in Excel
3	GSTR-9 tables end-to-end on the offline utility
4	GSTR-9C turnover, tax and ITC reconciliation
5	Notices: ASMT-10/11, DRC family, draft sample replies
6	Departmental audit (ADT-01), records to keep, limitation
7–8	Full mock: file a dummy 9/9C and answer a sample notice

Resources

- GST Portal help + downloadable GSTR-9/9C **offline utilities** (free, hands-on practice).
- **CBIC** notifications & the CGST Act s.44 (annual return), s.61 (scrutiny), s.65 (audit), s.73/74 (demands).
- ICAI *Technical Guide on Annual Return & Reconciliation Statement* (free PDF) — the practitioner's bible.
- ClearTax / TaxGuru walkthroughs for portal screens; Taxmann GST reckoner for rates.
- **Certification:** ICAI Certificate Course on GST, or the government **GST Practitioner (GSTP)** enrolment for practice.

Quick-reference

Form	Purpose
GSTR-9	Annual return (turnover > ₹2 Cr; optional below)
GSTR-9C	Reconciliation statement, self-certified (turnover > ₹5 Cr)
ASMT-10 / 11	Scrutiny notice / reply
ASMT-13	Best-judgment assessment (if no reply)
DRC-01A	Pre-SCN intimation
DRC-01 / 06	Show cause notice / reply
DRC-03	Voluntary / scrutiny payment (cash only)
ADT-01 / 02	Audit notice / findings

Key deadlines: GSTR-9 & 9C — **31 Dec** of next FY. ASMT-10 reply — **30 days**. DRC-01 reply — **30 days**.

Interest: 18% p.a. on short-paid tax; ITC-related interest under s.50.

Limitation for demands: s.73 (non-fraud) — 3 years; s.74 (fraud) — 5 years from annual-return due date.

Golden rules of reconciliation

Books ┌
GSTR-1 ┤ → must tie ← ┤ GSTR-3B
2B └ └ e-invoice / e-way bill

RCM & Import IGST → in books, NOT in 2B → never reverse to match

Every difference needs a named reason. No unexplained delta.

TDS/TCS in practice

What it is & where it's used

TDS (Tax Deducted at Source) means the *payer* withholds a slice of tax before paying a vendor, employee, landlord or contractor, and deposits it with the government against the payee's PAN. **TCS (Tax Collected at Source)** is the mirror image — the *seller* collects a small extra amount from the buyer on certain sales (scrap, motor vehicles > ₹10 lakh, some goods sales) and remits it.

It is the government's cash-flow engine and its biggest data-matching tool: every rupee deducted lands in the payee's **Form 26AS / AIS**, and if it doesn't match, someone gets a notice.

Roles that live and breathe this:

Role	TDS/TCS work
Accounts Payable executive	deduct correct section/rate at invoice booking
Payroll executive	monthly TDS on salary (192), Form 16 in May
Tax/compliance associate	monthly challans, quarterly 24Q/26Q, corrections
Statutory auditor / articulated clerk	vouch deductions, verify 26Q vs books, 40(a)(ia) disallowance
Vendor master / procurement	206AB/206CCA PAN screening before onboarding

If you touch a payment run in India, you touch TDS.

The gap: why companies want this (and college didn't teach it)

An MBA teaches that "tax is deducted at source." It does **not** teach that you have to:

- pick the *right section* from a 40-row rate chart at the moment of booking,
- apply the **higher rate under 206AB** when a vendor hasn't filed returns,
- deposit by the **7th of next month** (30 April for March) or eat 1.5%/month interest,
- file **26Q** with the exact challan-deduction mapping or the return gets rejected,
- and know that a wrong deduction triggers a **30% expense disallowance** under section 40(a)(ia).

Colleges test *concepts*; employers test *whether the challan is right and filed on time*. A single missed deposit means interest, a ₹200/day late-filing fee under 234E, and a partner's phone call. That operational, deadline-driven, penalty-aware muscle is exactly what companies pay for and what no classroom simulates.

What "proficient" looks like

A job-ready person can, unaided:

1. Read an invoice and say "**194J, 10%, ₹X**" or "**194C, 1%/2%, ₹Y**" in seconds.
2. Apply **threshold logic** (e.g. 194C single ₹30,000 / annual ₹1,00,000; 194J ₹30,000; 194Q ₹50 lakh) and **206AB** higher-rate override.
3. Pass the correct **journal entry** and reconcile the TDS payable ledger to the challan.

4. Generate a **challan (ITNS 281 / e-Pay Tax)**, download the CSI file, and validate the return in **RPU/TRACES**.
5. Explain the interplay of **194Q (buyer deducts) vs 206C(1H) (seller collects)** and who wins.
6. Produce **Form 16A** from TRACES and **Form 16** (Part A + Part B) for payroll.

Hands-on: how to actually do it

Key sections cheat-rates (FY 2025-26, resident, PAN available)

Section	Nature of payment	Threshold	Rate
192	Salary	Basic exemption	Slab (avg)
194C	Contractor / sub-contractor	₹30,000 single / ₹1,00,000 p.a.	1% (Ind/HUF), 2% (others)
194J	Professional / technical fees	₹30,000	10% (2% for technical/call-centre)
194H	Commission / brokerage	₹20,000	2%
194I	Rent — plant/machinery / land-building	₹2,40,000 p.a.	2% / 10%
194Q	Purchase of goods (buyer T/O > ₹10 cr)	₹50,00,000	0.1% on excess
206C(1H)	Sale of goods (seller T/O > ₹10 cr)	₹50,00,000	0.1% on excess
206C(1)	Scrap	—	1%
No PAN	any	—	20% (206AA)

206AB / 206CCA — the "non-filer" penalty

If the payee is a **"specified person"** (didn't file ITR for the relevant previous year *and* aggregate TDS/TCS ≥ ₹50,000 in that year), deduct at the **higher of**: twice the normal rate, or 5%. Check status on the **Reporting Portal** → **Compliance Check for 206AB** (bulk PAN upload). Never onboard a big vendor without this screen.

Excel: pick section, apply threshold, compute TDS

```
' Rate lookup from a RateTable (Section | Rate)
=XLOOKUP([@Section], RateTable[Section], RateTable[Rate])

' Apply annual threshold: only deduct once cumulative crosses limit
=IF([@CumInvoiceValue]>[@Threshold], [@InvoiceValue]*[@Rate], 0)

' 194Q - 0.1% only on purchases ABOVE 50 lakh (cumulative from same seller)
=MAX(0, MIN([@CumPurchase],[@CurrPurchase]) - MAX(5000000,[@CumPurchase]-[@CurrPurchase]))*0.001

' 206AB override: higher of 2x rate or 5%
=IF([@IsSpecifiedPerson]="Y", MAX([@Rate]*2, 5%), [@Rate])
```

Journal entries

Booking a ₹1,00,000 professional-fee invoice (194J @10%):

Account	Dr	Cr
Professional Fees (expense)	1,00,000	
To Vendor A/c		90,000
To TDS Payable – 194J		10,000

On deposit (7th of next month):

Account	Dr	Cr
TDS Payable – 194J	10,000	
To Bank		10,000

TallyPrime click-path

Gateway of Tally → Vouchers → F9 Purchase → select TDS nature of payment on the ledger → Tally auto-computes → Alt+G → TDS Reports → Challan Reconciliation → Ctrl+P for ITNS 281.

Deposit & return calendar

Task	Due date
Deposit TDS (Apr–Feb)	7th of next month
Deposit TDS (March)	30 April
26Q/27Q (non-salary)	Q1 31-Jul, Q2 31-Oct, Q3 31-Jan, Q4 31-May
24Q (salary)	same quarterly dates
Form 16A (from TRACES)	15 days after return due date
Form 16 (salary)	15 June

Deposit via **income tax portal** → **e-Pay Tax** → **Proceed (TDS/TCS)** → **ITNS 281**. Download the **CSI file** from the portal — the RPU validation needs it.

Worked example / mini-project

Vermilion Analytics Pvt Ltd, June 2025 payments:

Vendor	Service	Section	Amount (₹)	Note
CA Rao & Co	Audit fee	194J	2,00,000	PAN valid
BuildRight (partnership)	Office renovation	194C	5,00,000	contractor
Mehta (proprietor)	Freelance design	194J	40,000	non-filer (206AB)
Landlord (building)	Office rent	194I(b)	3,00,000	annual

Computation

```
194J  Rao & Co : 2,00,000 × 10%           = 20,000
194C  BuildRight (firm, 2%) : 5,00,000 × 2% = 10,000
194J  Mehta, 206AB → max(10%×2, 5%)=20% :
      40,000 × 20%                       = 8,000
194I  Rent (building 10%) : 3,00,000 × 10% = 30,000
-----
Total TDS for June                = 68,000
```

Deposit **₹68,000 by 7 July 2025** (four challans or one, split by section in the return). If deposited on 20 July instead: Interest u/s 201 = $68,000 \times 1.5\% \times 2 \text{ months}$ (deducted June, paid July → part-months) = ₹2,040 .

Return (26Q, Q1) mapping — each deductee row links to the challan by BSR code + date + serial. Validate in **RPU** → generate `.fvu` → upload on TRACES/income-tax portal → download **Form 16A** for each vendor two weeks later.

Reproduce it: build the four-row table in Excel, add the `206AB` override formula, sum column, and you have the exact number a compliance associate files.

How it's tested

Interview questions - "Vendor raises a ₹28,000 194C invoice, then a ₹15,000 one — do you deduct? On what?" (Yes, on ₹43,000 total, since annual ₹1,00,000 not crossed but single-bill ₹30,000 crossed on second? — trap: 194C single limit ₹30,000, aggregate ₹1,00,000; neither crossed individually but aggregate matters — expected answer: deduct once ₹1,00,000 aggregate crosses.) - "194Q vs 206C(1H) — same transaction, both above ₹50L, who acts?" (194Q buyer prevails; seller stops collecting.) - "What is section 40(a)(ia)?" (30% disallowance of expense if TDS not deducted/paid.) - "Client didn't deduct 206AB higher rate — consequences?" (short deduction, interest, disallowance.)

Practical test companies give: - A timed sheet of 10 invoices → identify section, rate, TDS amount, and total challan (30 min in Excel). - "Here's a 26Q .fvu error log — fix the challan-deduction mismatch." - Payroll case: compute annual salary TDS, spread over 12 months, produce Form 16 Part B.

Common mistakes & how pros avoid them

Mistake	Fix
Deducting on GST component of invoice	Deduct on taxable value only (excl. GST), if GST shown separately
Wrong Ind/HUF vs firm rate in 194C (1% vs 2%)	Check payee constitution in vendor master
Missing 206AB higher rate	Run bulk Compliance Check every quarter; flag in vendor master
Depositing March TDS by 7 April	March deadline is 30 April — don't overpay interest, don't miss
Challan section ≠ return section	Reconcile TDS payable ledger to challan before filing
Quoting no PAN → 20% forgotten	Block payment until PAN captured
Late return	₹200/day fee u/s 234E (capped at TDS amount) — file even if late

Pros keep a **TDS control sheet**: section-wise payable ledger reconciled to challans each month, and a vendor master with PAN + 206AB status refreshed quarterly.

Learn-it roadmap & resources

Time to proficiency: 3–4 weeks of hands-on, if you already know accounting basics.

Week	Focus
1	Section/rate chart, thresholds, journal entries
2	e-Pay Tax challan, CSI file, TallyPrime TDS
3	RPU + TRACES: file a dummy 26Q, generate Form 16A
4	24Q + Form 16, 206AB compliance check, corrections

Resources (free): Income Tax India e-filing portal (practice login), TRACES "e-Tutorials", NSDL/Protean **RPU & FVU** utilities (download free), CBDT rate chart PDF. **Paid**: ICAI BoS TDS module, ClearTDS / Winman TDS software (free trials), any "TDS return filing" Udemy course (₹500). **Certification**: none required, but ICAI Intermediate (Taxation) and a "GST & TDS Practitioner" course strengthen the CV.

Quick-reference

DEPOSIT: 7th next month | MARCH: 30 April

RETURNS: 26Q/24Q – 31 Jul / 31 Oct / 31 Jan / 31 May

FORM 16: 15 June | FORM 16A: 15 days after return

RATES (PAN available, FY25–26):

192 salary	slab	
194C contractor	1% ind/huf, 2% others	(30k/1L)
194J prof fees	10% (2% technical)	(30k)
194H commission	2%	(20k)
194I rent	2% P&M / 10% land-bldg	(2.4L)
194Q buy goods	0.1% >50L (buyer T/O>10cr)	
206C(1H) sell gds	0.1% >50L (seller side)	
206C(1) scrap	1%	
NO PAN (206AA)	20%	
206AB non-filer	higher of 2×rate or 5%	

INTEREST 201: 1%/mo (not deducted) or 1.5%/mo (not paid)

LATE FEE 234E: ₹200/day (max = TDS)

DISALLOWANCE 40(a)(ia): 30% of expense

Key formula: $\text{TDS} = \text{Taxable value (excl. GST)} \times \text{applicable rate}$, applied once the cumulative payment crosses the section threshold, with a 206AB override for non-filers.

Income-tax computation & finalisation

What it is & where it's used

Income-tax computation is the process of converting an entity's book profit (or an individual's gross earnings) into **taxable income**, applying the correct slab/rate, adjusting for deductions and reliefs, and arriving at the **final tax payable or refundable** for the year. Finalisation is the year-end ritual — reconciling advance tax, TDS, self-assessment tax, and the return — so the books, Form 26AS/AIS, and the ITR all agree.

Roles that live and die on this skill:

Role	What they touch
Tax associate (Big 4 / CA firm)	Computing income for 50-200 clients per season, ITR filing
Accounts / finance executive (industry)	Advance-tax working, provision for tax, deferred tax
Financial controller	Sign-off on current-tax and MAT provision at year-end close
Payroll / HR-finance	TDS on salary (Sec 192), Form 16
Anyone doing a company statutory audit	Tax provision, MAT, tax reconciliation in notes

If you can take a trial balance and produce a defensible tax computation sheet, you are immediately useful in March-September (the Indian filing crunch).

The gap: why companies want this (and college didn't teach it)

MBA and even CA theory teach you the *heads of income* and the *slab rates*. What they don't teach is the **mechanical, spreadsheet-driven finalisation** that a real client engagement demands:

- Books show *depreciation as per Companies Act*; tax needs *depreciation as per Income-tax Act (WDV, block of assets)*. Nobody teaches you to run both.
- You must **add back** disallowances (Sec 40(a)(ia), 43B, 37) that never appear in a textbook profit.
- You must decide **old vs new regime** (115BAC for individuals, 115BAA for companies) — a real Rupee decision, not a definition.
- You must reconcile tax paid to **Form 26AS / AIS** before filing, or the return gets a mismatch notice.
- **MAT (Sec 115JB)** vs normal tax — computing both and paying the higher — is a pure-practice skill.

Colleges test "what is Section 80C." Employers test "here is the trial balance, give me the computation, the advance-tax challans, and the provision entry by 6 pm."

What "proficient" looks like

A job-ready person can, **unaided**:

1. Build a **computation of total income** sheet in Excel from a trial balance — five heads, adjustments, deductions, tax, cess, interest.
2. Run **tax-depreciation** on the block-of-assets method and reconcile it to book depreciation.
3. Compute **MAT under 115JB** and compare with normal tax; know MAT credit u/s 115JAA.

4. Prepare an **advance-tax schedule** (15%/45%/75%/100% cut-offs) and compute interest u/s 234B/234C.
5. Decide **115BAA / 115BAC** with a side-by-side comparison.
6. Pass the **provision-for-tax and deferred-tax** journal entries and tie them to the computation.
7. Reconcile the computation to **Form 26AS/AIS** and file the correct **ITR** (ITR-6 company, ITR-3/2 individual).

Hands-on: how to actually do it

Step 1 — Company computation skeleton (FY 2024-25 / AY 2025-26)

Start from **net profit as per Statement of P&L**, then adjust:

Net profit as per books (before tax)	xxxx
Add: Depreciation as per Companies Act	xxx
Disallowances u/s 40(a)(i)/(ia)	xxx
43B items unpaid (GST, PF, bonus, interest)	xxx
Provisions / donations debited	xxx
Fines & penalties, personal expenses	xxx
Less: Depreciation as per Income-tax Act	(xxx)
Income taxed under other heads / exempt	(xxx)
Deductions Chapter VI-A (80G, 80JJAA...)	(xxx)
= Total Income (round off to nearest ₹10, Sec 288A)	

Excel — put the add-backs in a signed column so a single SUM works:

```
' B = amount, C = +1 add / -1 less
=B2 (net profit)
Total Income =B2 + SUMPRODUCT(add_amounts, add_signs)
Round off    =MROUND(TotalIncome,10)
```

Step 2 — Tax rate logic (nested IF is fine, choose readable)

Company, opting **115BAA** (22% + 10% surcharge + 4% cess = **25.168%**), no MAT:

```
=ROUND(TotalIncome * 0.25168, 0)
```

Company **not** opting 115BAA — normal rate 25% (turnover ≤ ₹400 cr) or 30%, plus surcharge slab, plus 4% cess. Surcharge helper:

```
=IF(TotalIncome>1000000000, 0.12, IF(TotalIncome>100000000, 0.07, 0))
```

Individual — old vs new regime side by side (AY 2025-26 new-regime slabs):

```
=LET(ti, TaxableIncome,
  MAX(0,
    (MIN(ti,700000)-300000)*0.05
  + (MIN(ti,1000000)-700000)*0.10
  + (MIN(ti,1200000)-1000000)*0.15
  + (MIN(ti,1500000)-1200000)*0.20
  + (ti-1500000)*0.30 ))
```

Add 4% cess: $\text{Tax} \times 1.04$. Apply **87A rebate** if new-regime total income $\leq ₹7,00,000 \rightarrow \text{tax} = 0$.

Step 3 — Tax depreciation (block of assets, WDV)

Opening WDV + Additions - Sale proceeds = Closing base
 Dep = base $\times$ block rate (½ rate if asset used < 180 days)

Block	Rate
Plant & machinery (general)	15%
Furniture & fittings	10%
Computers & software	40%
Buildings (non-residential)	10%
Motor cars	15%

Full-rate dep = (OpenWDV + Add180plus - Sale) $\times$ Rate
 Half-rate dep = Add_below180 $\times$ Rate/2

Step 4 — MAT (Sec 115JB)

Book profit $\times$ **15% + surcharge + cess**. Pay **higher of** normal tax and MAT. Excess MAT over normal tax is **MAT credit** carried 15 years.

```
NormalTax = ...
MAT        = ROUND(BookProfit*0.15*1.04*(1+surcharge),0)
TaxPayable = MAX(NormalTax, MAT)
MATCredit  = MAX(0, MAT - NormalTax)
```

Note: a company under **115BAA is exempt from MAT** — that's a big reason to opt in.

Step 5 — Journal entries at finalisation

Date	Particulars	Dr (₹)	Cr (₹)
31-Mar	Advance income-tax A/c ... Dr	20,00,000	
	To Bank		20,00,000
31-Mar	Income-tax expense (P&L) ... Dr	26,50,000	
	To Provision for tax		26,50,000
31-Mar	Deferred tax expense ... Dr	1,20,000	
	To Deferred tax liability		1,20,000
Next yr	Provision for tax ... Dr	26,50,000	
	To Advance tax + TDS		24,00,000
	To Bank (self-assessment 140A)		2,50,000

Step 6 — Advance-tax & 234C interest

Due date	Cumulative %	234C trigger if paid <
15 Jun	15%	12%
15 Sep	45%	36%
15 Dec	75%	75%
15 Mar	100%	100%

234B interest = **1% p.m.** on shortfall (if advance tax < 90% of assessed) from April to payment. 234C = 1% p.m. on each instalment shortfall.

Worked example / mini-project

Alpha Traders Pvt Ltd, FY 2024-25. Reproduce this in Excel.

Line	₹
Net profit as per books	1,00,00,000
Add: Depreciation (Companies Act)	18,00,000
Add: GST unpaid at year-end (43B)	3,00,000
Add: Donation to CM Relief debited	2,00,000
Add: Penalty for late GST filing	50,000
Less: Depreciation (Income-tax Act)	(22,00,000)
Business income	1,01,50,000
Less: 80G (50% of ₹2,00,000)	(1,00,000)
Total income	1,00,50,000

Turnover ₹380 cr → base rate **25%**. Not opting 115BAA.

Tax @25%	= 25,12,500
Surcharge @7% (TI > ₹1 cr)	= 1,75,875
	26,88,375
Cess @4%	= 1,07,535
Total normal tax	= 27,95,910

MAT check: book profit ≈ ₹1,05,50,000 → MAT @15% × 1.04 × 1.07 = ₹17,60,900 < normal tax. **Pay ₹27,95,910.**

If instead Alpha opts **115BAA**: 1,00,50,000 × 25.168% = **₹25,29,384** — a genuine ₹2.66 lakh saving, no surcharge slab, no MAT. That comparison is the deliverable a manager wants.

Advance tax paid ₹24,00,000; TDS credit (26AS) ₹1,50,000; balance ₹2,45,910 → pay as **self-assessment tax (Sec 140A)** via challan before filing **ITR-6**.

How it's tested

Interview questions - "Company book profit is ₹50 lakh, tax depreciation is higher than book — walk me through the computation." - "When would a company still pay MAT under the old regime but not under 115BAA?" - "Difference between 234B and 234C interest?" - "Advance tax first instalment date and percentage?" - "Deferred tax vs current tax — which timing differences create DTL?"

Practical assessments - Timed Excel test (60-90 min): given a trial balance + fixed-asset schedule, produce the computation sheet, tax, MAT, and advance-tax working. - **"Finalise these books" case:** pass provision, advance-tax adjustment, and deferred-tax entries; tie the ITR figure to the ledger. - **26AS reconciliation:** they hand you a 26AS PDF and books; find the TDS mismatch.

Common mistakes & how pros avoid them

Mistake	Fix
Using book depreciation for tax	Always maintain a separate block-of-assets register; never copy Companies-Act dep.
Forgetting 43B — claiming unpaid GST/PF/bonus	Add back anything statutory unpaid by the ITR due date .
Ignoring MAT because "we have profit"	Compute both every year; pay the higher.
Missing the ½-rate rule on assets used < 180 days	Tag every addition with its put-to-use date.
Not reconciling to AIS/26AS before filing	Download 26AS + AIS first; match TDS line by line.
Applying old surcharge slabs to a 115BAA company	115BAA has a flat 10% surcharge , no slab.
Forgetting 234C on quarterly shortfall	Model the four cut-offs in the advance-tax sheet.
Rounding wrong	Round total income to nearest ₹10 (288A), tax to nearest ₹1.

Pros keep a **standard computation template** and a **checklist of add-backs** so nothing is missed under season pressure.

Learn-it roadmap & resources

Phase	Time	What to do
Basics	2 weeks	Five heads, slabs, both regimes — CA Inter Taxation module
Computation	3 weeks	Build 10 company + 10 individual computations in Excel from scratch
Depreciation & MAT	1 week	Block-of-assets register; MAT under 115JB
Filing	1 week	File a dummy ITR-3 and ITR-6 on the income-tax portal
Provision & deferred tax	1 week	AS 22 / Ind AS 12 entries, tie to computation

Resources - Income-tax portal (incometax.gov.in) — free ITR utilities, Form 26AS, AIS - ICAI Study Material — Taxation (authoritative, free) - CBDT rate cards / Finance Act each year (surcharge, slabs change annually) - Cleartax / Taxmann computation guides for worked examples - **Certification:** CA / CMA; or a practical GST+ITR filing course (Cleartax, Udemy) for non-CA roles

Realistic time-to-proficiency: **6-8 weeks** of daily practice to independently finalise a straightforward company.

Quick-reference

Company rates (AY 2025-26)

Basis	Rate (+cess 4%)
115BAA	22% + 10% surcharge = 25.168% (no MAT)
Turnover ≤ ₹400 cr	25% + surcharge slab
Others	30% + surcharge slab
MAT (115JB)	15% of book profit

Company surcharge: 7% (TI > ₹1 cr), 12% (TI > ₹10 cr).

Individual new-regime slabs (AY 25-26): Nil ≤3L; 5% 3-7L; 10% 7-10L; 15% 10-12L; 20% 12-15L; 30% >15L.

87A rebate up to ₹7L → tax nil.

Advance tax: 15% Jun · 45% Sep · 75% Dec · 100% Mar.

Interest: 234A (late filing), 234B (< 90% paid), 234C (instalment shortfall) — all **1% p.m.**

Key sections: 40(a)(ia) TDS disallowance · 43B statutory dues on payment · 115JB MAT · 115JAA MAT credit (15 yrs) · 115BAA company concessional · 115BAC individual new regime · 140A self-assessment · 288A round-off.

Forms: ITR-6 (company) · ITR-3 (business individual) · ITR-2 (no business) · Form 26AS + AIS (reconcile before filing).

ITR Filing & Tax Audit

What it is & where it's used

Income Tax Return (ITR) filing is the annual act of reporting a taxpayer's income, deductions, and tax paid to the Income Tax Department, and squaring off the balance (refund or demand). Tax audit under **Section 44AB** is the statutory examination of a business/profession's books by a Chartered Accountant, reported in **Form 3CA/3CB + 3CD**, that must be completed before the ITR of an audited assessee is filed.

Every finance function touches this:

Role	What they do with ITR/tax audit
Accounts executive	Assembles the trial balance, ledgers, TDS/26AS reconciliation feeding the return
Tax associate (CA firm / Big 4)	Prepares 3CD annexures, drafts returns for clients, uploads on portal
Finance manager / controller	Signs off on tax provision, coordinates the statutory + tax audit close
Payroll / HR finance	Issues Form 16, ensures salary TDS matches employee ITRs
Founder / freelancer	Files own ITR-3/ITR-4, decides presumptive vs. audit

If you are hired into any accounts or tax seat in India, July–September (the return + audit season) is the busiest, highest-visibility part of your year. Knowing the mechanics cold makes you immediately useful.

The gap: why companies want this (and college didn't teach it)

An MBA teaches you what taxable income *is*. It does not teach you:

- **Which of the seven ITR forms** actually applies to a given fact pattern, and why using the wrong one gets the return treated as defective (Section 139(9)).
- How to **reconcile Form 26AS, AIS (Annual Information Statement), and TIS** against the books before you touch a return — the single most common real-world task.
- The **exact turnover thresholds** that trigger tax audit, and the trap in the 5% cash-transaction rule.
- How to fill **Clause 21 (disallowances), Clause 26 (Section 43B), Clause 34 (TDS compliance)** of Form 3CD — the clauses that consume 80% of audit time.
- The **portal click-path**: DSC registration, JSON utility, UDIN, CA-assignee acceptance workflow.

Colleges test theory in a vacuum. Employers pay for someone who can take a messy Tally backup and produce a filed, defensible return without supervision. That end-to-end capability is the gap.

What "proficient" looks like

A job-ready person can, unaided:

1. Pick the **correct ITR form** for salary, capital gains, business, presumptive, or company income.
2. Download and **reconcile 26AS + AIS** to the books, flagging every mismatch with a reason.
3. Determine **tax-audit applicability** in under two minutes given turnover, profession, and cash ratios.
4. Populate **Form 3CD clause-by-clause** from a trial balance and supporting schedules.

5. Compute **total income, tax, interest under 234A/B/C**, and know whether it's a refund or payable.
6. Generate **UDIN**, get the audit report accepted by the assessee, and file the ITR before the due date.

Hands-on: how to actually do it

Step 1 — Pick the ITR form

Form	Who files it
ITR-1 (Sahaj)	Resident individual, income $\leq$ ₹50L: salary, one house property, other sources
ITR-2	Individual/HUF with capital gains, >1 house, foreign assets — no business income
ITR-3	Individual/HUF with business/professional income (incl. F&O, intraday)
ITR-4 (Sugam)	Presumptive income u/s 44AD/44ADA/44AE, turnover $\leq$ ₹2 crore
ITR-5	Firms, LLPs, AOP, BOI
ITR-6	Companies (other than those claiming 11 exemption)
ITR-7	Trusts, political parties, u/s 139(4A)–(4D)

Step 2 — Reconcile 26AS / AIS to books (the daily task)

Pull TDS from 26AS and match to your books. In Excel:

```
=XLOOKUP(A2, TDS_26AS[TAN], TDS_26AS[TaxDeducted], 0)           // TDS as per 26AS for each par  
=B2 - C2                                                         // Books TDS minus 26AS TDS  
=IF(ABS(D2)<1, "Match", IF(D2>0,"Short in 26AS","Excess in 26AS"))
```

Reconcile receipts against AIS SFT entries:

```
import pandas as pd  
books = pd.read_excel("sales_ledger.xlsx")           # party, invoice, amount  
ais    = pd.read_excel("ais_export.xlsx")           # party, reported_amount  
  
recon = books.merge(ais, on="party", how="outer", suffixes=("_books","_ais"))  
recon["diff"] = recon["amount"].fillna(0) - recon["reported_amount"].fillna(0)  
recon["flag"] = recon["diff"].apply(lambda d: "OK" if abs(d) < 1 else "INVESTIGATE")  
recon.to_excel("ais_recon.xlsx", index=False)
```

Step 3 — Test tax-audit applicability (Section 44AB)

```
def tax_audit_required(turnover, cash_receipts_pct, cash_payments_pct,
                      is_profession, gross_receipts_prof,
                      opted_presumptive=False, declared_below_presumptive=False):
    if is_profession:
        if gross_receipts_prof > 50_00_000:          # 44AB(b): ₹50 lakh
            return "Audit required (profession)"
    else:
        # Business: ₹1 cr default; ₹10 cr if cash ≤5% both ways
        if cash_receipts_pct ≤ 5 and cash_payments_pct ≤ 5:
            limit = 10_00_00_000
        else:
            limit = 1_00_00_000
        if turnover > limit:
            return f"Audit required (business, limit ₹{limit:,})"
    if declared_below_presumptive and turnover > 0: # 44AB(e)
        return "Audit required (declared below presumptive)"
    return "No audit required"

print(tax_audit_required(9_50_00_000, 3, 4, False, 0)) # → No audit (₹10cr limit)
print(tax_audit_required(1_20_00_000, 40, 30, False, 0)) # → Audit required (₹1cr)
```

Step 4 — Choose the audit report form

- **Form 3CA** — accounts already audited under another law (Companies Act, LLP Act). CA just annexes 3CD.
- **Form 3CB** — accounts NOT audited under any other law (proprietor, most partnerships). CA gives an opinion + annexes 3CD.
- **Form 3CD** — the 44-clause statement of particulars, annexed to *both* 3CA and 3CB.

Step 5 — Key Form 3CD clauses (where time goes)

Clause	What it captures
12	Presumptive income (44AD/44ADA etc.)
16	Amounts not credited to P&L
21(a)	Personal/capital/penalty expenses disallowed
21(b)	Disallowance u/s 40(a) — TDS not deducted/paid
26	Section 43B — statutory dues paid vs. outstanding
27	CENVAT/GST credit, prior-period items
31	Loans/deposits u/s 269SS/269T (cash > ₹20,000)
34	TDS/TCS compliance — deducted, deposited, return filed

Step 6 — Journal for the tax provision

Particulars	Dr (₹)	Cr (₹)
Income Tax Expense (P&L)	3,60,000	
To Provision for Tax		3,60,000
<i>(Being provision for current tax created)</i>		
Advance Tax Paid A/c	2,80,000	
TDS Receivable A/c	60,000	
To Bank		2,80,000
Provision for Tax	3,60,000	
To Advance Tax Paid		2,80,000
To TDS Receivable		60,000
To Provision — Balance Payable		20,000

Worked example / mini-project

Client: Sharma Traders (proprietor, wholesale). FY 2025-26.

Item	Amount (₹)
Turnover (all digital)	3,40,00,000
Cash receipts	4,20,000 (1.2%)
Cash payments	6,80,000 (2.0%)
Net profit as per books	24,50,000
Depreciation (books)	3,10,000
Depreciation (Income Tax Act)	3,85,000
Interest to bank paid before due date	1,20,000
GST payable outstanding on 30 Sep (43B)	90,000

1. Audit applicability: cash both $\leq 5\%$ $\rightarrow$ limit is ₹10 cr. Turnover ₹3.4 cr $<$ ₹10 cr $\rightarrow$ **no 44AB audit** unless declaring below 44AD's 6%/8% presumptive. Profit ₹24.5L is 7.2% of turnover, above 6% $\rightarrow$ **no audit**. Suppose the client instead declares only ₹18L (5.3%) $\rightarrow$ **audit triggered under 44AB(e)**.

2. Assume audit applies. Compute business income:

Net profit per books	24,50,000
Add: Book depreciation	+3,10,000
Less: Tax depreciation	-3,85,000
Add: GST unpaid u/s 43B (Clause 26)	+90,000
Business income	24,65,000

3. Tax (individual, new regime, FY25-26 slabs):

Income	24,65,000
Tax:	
0-4L	: 0
4-8L	: 5% x 4L = 20,000
8-12L	: 10% x 4L = 40,000
12-16L	: 15% x 4L = 60,000
16-20L	: 20% x 4L = 80,000
20-24.65L	: 25% x 4.65L = 1,16,250
Total tax	= 3,16,250
+4% cess	= 12,650
Total liability	= 3,28,900

4. Interest 234B/C applies if advance tax < 90% paid — compute and add. **5. Reconcile TDS credit from 26AS, adjust, arrive at payable/refund.** **6.** CA generates **UDIN**, uploads 3CB-3CD, client accepts, then ITR-3 is filed.

Reproduce this in a spreadsheet: one tab for book-to-tax adjustments, one for the slab calc using nested IF / SUMPRODUCT, one for the 3CD Clause 26 schedule.

How it's tested

Interview questions: - "Turnover is ₹8 crore, 100% digital — is tax audit required?" (No, ₹10 cr limit.) - "Client is a doctor with ₹55L receipts — which form, is audit needed?" (ITR-3; audit yes, > ₹50L.) - "Difference between 3CA and 3CB?" - "What is Clause 34 and why does it matter?" (TDS compliance; drives 40(a)(ia) disallowance.) - "What is UDIN and when is it generated?"

Practical assessment: Firms hand you a **Tally backup + 26AS PDF** and a laptop, and ask you to (a) prepare the tax-audit computation, (b) fill a blank 3CD in the utility, and (c) tell them the tax payable — timed, 60–90 minutes. Big 4 tax teams also give a **book-to-tax reconciliation case** in Excel. Expect a short "spot the disallowance" test on a sample P&L.

Common mistakes & how pros avoid them

Mistake	Fix
Wrong ITR form (ITR-1 with capital gains) → defective u/s 139(9)	Map income sources to the form table first
Ignoring AIS/TIS, filing only on books	Always download AIS; reconcile before filing
Filing ITR before uploading & accepting the audit report	Sequence: 3CB-3CD → UDIN → assessee acceptance → then ITR
Missing UDIN within 60 days	Generate UDIN at report signing, not later
Treating the ₹10 cr limit as automatic	It needs BOTH cash receipts and payments ≤ 5%
Forgetting 43B add-back for unpaid statutory dues	Reconcile GST/PF/ESI paid vs. outstanding at year-end
Not reporting 40(a)(ia) TDS defaults in Clause 34/21(b)	Cross-check TDS returns to expense ledgers

Learn-it roadmap & resources

Time to job-ready: 8–12 weeks of focused practice alongside CA Inter tax study.

- **Weeks 1–2:** ITR form selection, heads of income, new vs. old regime slabs.
- **Weeks 3–4:** 26AS/AIS reconciliation in Excel; file 3–4 dummy ITR-1/ITR-2 on the portal's offline JSON utility.
- **Weeks 5–8:** Section 44AB applicability drills; fill 3CD clause-by-clause on sample data.
- **Weeks 9–12:** Full mock — Tally backup to filed ITR-3 with 3CB-3CD.

Resources (free): Income Tax portal (incometax.gov.in) — offline utilities, FAQs; ICAI *Guidance Note on Tax Audit u/s 44AB*; department's YouTube how-to-file videos; ClearTax and Tax Guru blogs for worked examples.

Paid: any CA-firm articleship (the real training ground), Udemy "Income Tax Return Filing" practical courses.

Certification: the **CA qualification** itself authorizes signing tax audits; CA Inter + articleship experience is what employers screen for.

Quick-reference

Trigger	Threshold
Business tax audit (default)	Turnover > ₹1 crore
Business tax audit (cash ≤ 5% both ways)	Turnover > ₹10 crore
Profession tax audit	Gross receipts > ₹50 lakh
Presumptive business (44AD)	Turnover ≤ ₹2 crore, deem 6% (digital)/8% (cash)
Presumptive profession (44ADA)	Receipts ≤ ₹75 lakh, deem 50%
269SS/269T cash loan limit	₹20,000

Form map: 3CA = accounts audited elsewhere · 3CB = not audited elsewhere · 3CD = 44-clause annexure (always).

Filing sequence: Books close → 26AS/AIS reconcile → 3CB-3CD prepared → **UDIN** → CA uploads → assessee accepts → **ITR filed**.

Key clauses: 21(b) = TDS disallowance · 26 = 43B dues · 31 = cash loans · 34 = TDS compliance.

Due dates (typical): Non-audit ITR — 31 Jul · Tax audit report — 30 Sep · Audited ITR — 31 Oct.

Interest: 234A (late filing) · 234B (< 90% advance tax) · 234C (deferment of instalments) — all @ 1% p.m.

Tax Tools & Portals

What it is & where it's used

Indian tax compliance runs on four government portals and a handful of accounting/tax software packages. You don't "know tax" for a job — you *operate* these tools:

Tool	Owner	What it does
GSTN portal (gst.gov.in)	Goods & Services Tax Network	File GSTR-1/3B/9, generate e-invoices & e-way bills, claim ITC, reconcile GSTR-2B
TRACES (tdscpc.gov.in)	Income Tax Dept	TDS returns' aftermath — download Form 16/16A, justification reports, correct TDS defaults, Form 26AS
Income-tax e-filing (incometax.gov.in)	Income Tax Dept	File ITR, respond to notices, e-verify, pay tax, view AIS/TIS
ClearTax / Zoho Books / TallyPrime	Private	Bulk GST filing, invoicing, books of accounts, reconciliation at scale

Roles that live in these tools daily: GST executive, TDS/accounts executive, statutory compliance analyst, audit associate (Big 4 and mid-tier), tax consultant, and every SME accountant. If a JD says "hands-on GST & TDS compliance," it means these exact screens.

The gap: why companies want this (and college didn't teach it)

An MBA/CA-theory background teaches you *sections* — Section 16 ITC conditions, Section 194J TDS on professional fees, Rule 36(4). Employers don't pay you to recite Section 16; they pay you to **click the right buttons, catch a ₹40,000 ITC mismatch, and file before the 20th** without breaking anything.

The gap is procedural and unforgiving: - College says "reconcile purchases with GSTR-2B." No one showed you the actual GSTR-2B JSON, how to VLOOKUP it against your purchase register, or what to do with an invoice the vendor never uploaded. - College says "deduct TDS." No one made you generate a challan, map it in an FVU file, and download a corrected Form 16A after a short-deduction default. - Portals change constantly (new IMS on GSTN, AIS on e-filing). Textbooks are always 2 years stale.

Companies want someone who has *touched the portal*, because the cost of a wrong click is real: late fees, interest, blocked ITC, and notices.

What "proficient" looks like

A job-ready person can, unaided:

1. Log into GSTN, upload a GSTR-1 via offline tool JSON, file GSTR-3B, and know the offset order (IGST → CGST/SGST).
2. Pull GSTR-2B, reconcile it against the purchase register, and produce a "match / mismatch / not-in-2B" report.
3. Generate an e-invoice IRN and an e-way bill, and cancel one within the time window.
4. On TRACES: download Form 16A, read a Justification Report, and file a TDS correction for a wrong PAN.

5. On e-filing: reconcile Form 26AS + AIS with books, file an ITR, and respond to a 143(1) intimation.

6. In Tally/Zoho: pass a GST-compliant sales entry, run GSTR-1 report, and export the return.

The bar is **speed + zero rework**. A senior can file a month's returns for 20 GSTINs; a junior does 2–3 cleanly and reconciles the rest.

Hands-on: how to actually do it

GSTN portal — file GSTR-3B (click-path)

```
Login → Returns Dashboard → select FY & month → GSTR-3B "Prepare Online"  
→ 3.1 Outward supplies: enter taxable value, IGST/CGST/SGST  
→ 4 Eligible ITC: auto-drafts from 2B; edit 4(A)(5) All other ITC  
→ 5 Exempt/nil → 6.1 Payment of tax  
→ "Make Payment/Create Challan" if cash needed → File with EVC/DSC
```

Offset rule the portal enforces: **IGST credit first fully utilised, then CGST, then SGST**, cross-utilisation IGST↔CGST/SGST allowed, but CGST credit can never pay SGST.

GSTR-2B reconciliation in Excel

Purchase register in one sheet, downloaded 2B in another. Match on **GSTIN + Invoice No + Taxable value**:

```
=XLOOKUP(A2&"|"&B2, Reg!$A:$A&"|"&Reg!$B:$B, Reg!$D:$D, "NOT IN BOOKS")
```

Flag ITC differences:

```
=IF(ABS(D2-E2)≤1,"Match",IF(E2="NOT IN 2B","ITC not available yet","MISMATCH ₹"&D2-E2))
```

Rounding tolerance of ₹1 avoids false mismatches from paise rounding.

e-Way bill validity (know the formula)

Normal cargo: **1 day per 200 km** (part thereof = +1 day). 640 km → $\text{ceil}(640/200) = 4$ days.

```
=CEILING(distance_km/200,1) ' days of validity
```

TRACES — download Form 16A

```
Login (deductor) → Downloads → Form 16A → enter FY, Quarter, Form type (26Q)  
→ submit request → Requested Downloads → download .zip  
→ open in TRACES PDF Generation Utility → outputs password-protected PDF
```

Form 16A PDF password = **TAN in caps** (e.g., BLRA12345B) unless changed.

Income-tax e-filing — pay TDS challan (Minor head 200)

e-Pay Tax → New Payment → TDS/TCS (Challan 281) → AY → Minor head 200 (regular)
or 400 (demand) → fill section (e.g., 94C) → Net banking → download CIN challan

Journal entries — TDS on ₹1,00,000 professional fee (194J, 10%)

Date	Particulars	Dr (₹)	Cr (₹)
Invoice	Professional Fees A/c Dr	1,00,000	
	To Consultant A/c		90,000
	To TDS Payable (194J) A/c		10,000
Payment	Consultant A/c Dr	90,000	
	To Bank A/c		90,000
Deposit	TDS Payable A/c Dr	10,000	
	To Bank A/c		10,000

TallyPrime — GST sales entry click-path

Gateway of Tally → Vouchers → F8 Sales → party name → sales ledger (with GST rate)
→ item + qty + rate → CGST/SGST ledgers auto-calc → Ctrl+A save
Reports: Display More Reports → GST Reports → GSTR-1 → export JSON for portal

Worked example / mini-project

Scenario: You run March compliance for *Acme Traders Pvt Ltd*, Karnataka (intra-state).

Sales (outward): ₹10,00,000 taxable, GST 18% → CGST ₹90,000 + SGST ₹90,000. Purchases per books: ₹6,00,000 taxable, ITC CGST ₹54,000 + SGST ₹54,000. Downloaded **GSTR-2B** shows only ₹5,00,000 (ITC ₹45,000 + ₹45,000) — one vendor (₹1,00,000, ITC ₹9,000+₹9,000) hasn't filed.

Step 1 — Reconcile. Your Excel match flags that vendor invoice as "NOT IN 2B." Per Section 16(2)(aa)/Rule 36(4), you can claim ITC **only** to the extent in 2B.

Step 2 — Claimable ITC: CGST ₹45,000 + SGST ₹45,000 (not ₹54,000).

Step 3 — Net cash payable in GSTR-3B:

Head	Output tax	ITC (2B)	Cash payable
CGST	₹90,000	₹45,000	₹45,000
SGST	₹90,000	₹45,000	₹45,000
Total	₹1,80,000	₹90,000	₹90,000

Step 4 — Challan: Create PMT-06 for ₹90,000, pay, then file GSTR-3B.

Step 5 — Follow-up: Email the defaulting vendor to file their GSTR-1. When it appears in a later month's 2B, claim the ₹18,000. Record it in an "ITC pending" tracker so it isn't forgotten (it lapses if not claimed by Nov 30 of next FY).

Reproduce this in a spreadsheet — it's exactly what a GST executive does 12 times a year per client.

How it's tested

Interview questions: - "Walk me through filing GSTR-3B. What's the ITC set-off order?" - "Vendor didn't upload an invoice — can I claim ITC? Until when?" - "Difference between GSTR-2A and 2B?" (2A is dynamic/live; 2B is static, generated 14th, and is the basis for ITC.) - "TDS on ₹50,000 rent to an individual — which section, rate?" (194I, 10% on land/building.) - "What's in Form 26AS vs AIS?"

Practical assessments companies actually give: - A **timed reconciliation test:** here's a purchase register and a GSTR-2B export — produce the mismatch report in Excel in 30 minutes. - A **Tally case:** "Enter these 10 vouchers and generate GSTR-1." They check your GST ledgers and HSN. - A **login demo:** they hand you a sandbox/their portal and say "show me where you'd download Form 16A" or "file this nil GSTR-3B." - **TDS challan mapping:** given payments, compute TDS, section, and due dates.

Common mistakes & how pros avoid them

Mistake	Consequence	Pro habit
Claiming full book ITC, ignoring 2B	Notice, ITC reversal + 24% interest	Reconcile 2B <i>every</i> month, claim only what's reflected
Filing 3B before reconciling 2B	Locked-in error (3B can't be revised)	2B recon → then 3B, in that order
Wrong TDS section/rate	Short-deduction default on TRACES	Keep a section-rate cheat-sheet; verify PAN status
Missing e-invoice for B2B (turnover > ₹5 cr)	Invoice invalid, ITC denied to buyer	Auto-generate IRN at billing in Tally/Zoho
Filing GSTR-1 after 3B	3B ITC/liability mismatch	Always GSTR-1 first, then 3B
Forgetting DSC vs EVC	Companies/LLPs <i>must</i> use DSC	Keep DSC token drivers installed & tested
Ignoring AIS before ITR	Mismatch notice u/s 143(1)	Reconcile AIS + 26AS + books first

Pros also **never file on the last day** — portals crash on the 20th. They keep a filing calendar and file 2–3 days early.

Learn-it roadmap & resources

Time to job-ready: 6–10 weeks of hands-on practice alongside theory.

Week	Focus
1–2	GST basics + GSTN portal navigation; file a dummy nil GSTR-3B/1
3–4	GSTR-2B reconciliation in Excel; e-invoice + e-way bill
5–6	TDS: sections, challans, TRACES, Form 16/16A
7–8	TallyPrime GST + Zoho Books; end-to-end monthly cycle
9–10	Income-tax e-filing: ITR, 26AS/AIS, notices

Resources: - **Free:** GSTN's own tutorials (tutorial.gst.gov.in), TRACES e-tutorials, Income Tax Dept YouTube, CBIC flyers. Practice on GSTN's offline tools (free download). - **Paid:** ClearTax GST certification, Tally's TallyPrime with GST course (TallyEducation), Udemy "GST + TDS practical" courses (₹500–1,500 on sale). - **Certifications that signal proficiency:** Tally ACE/Professional, ClearTax certifications, ICAI's GST certificate course (if eligible).

Best practice: get a **free trial ClearTax/Zoho account** and a GSTN test login, and actually file dummy returns. Nothing beats muscle memory on the real screens.

Quick-reference

GST return due dates

Return	Frequency	Due
GSTR-1	Monthly / QRMP	11th / 13th
GSTR-3B	Monthly / QRMP	20th / 22nd–24th
GSTR-9 (annual)	Yearly	31 Dec

Common TDS sections

Section	Payment	Rate
192	Salary	Slab
194C	Contractor	1% (indiv) / 2% (co.)
194J	Professional/technical	10% / 2%
194I	Rent (land/bldg)	10%
194H	Commission	2%
194Q	Purchase of goods >₹50L	0.1%

Key portal facts - GSTR-2B generated on the **14th**; basis for ITC. GSTR-2A is dynamic. - ITC set-off: **IGST first**, then CGST, then SGST (no CGST↔SGST). - e-Way bill validity: **1 day / 200 km**. - Form 16A password = **TAN (caps)**. - TDS deposit due: **7th of next month** (April–Feb); March by **30 April**. - Company/LLP e-filing: **DSC mandatory**; others EVC allowed. - ITC lapse deadline: **30 Nov** of next FY.

Payroll & compliance basics

What it is & where it's used

Payroll is the monthly process of converting an employee's CTC into a **net-pay number in their bank account**, while simultaneously deducting and depositing the right taxes and social-security contributions with the government — TDS, PF, ESI, Professional Tax. Get it wrong and you don't just annoy staff; you trigger interest, penalties, and a personal liability on the "principal officer" for TDS defaults.

Roles that live in this:

- **Payroll executive / HR-Ops** — runs the monthly cycle, files challans.
- **Accounts / Finance associate** — books the payroll journal, reconciles the salary-payable and statutory-dues ledgers.
- **Tax associate** — computes TDS on salary (Sec 192), issues Form 16, files Form 24Q.
- **Consultant / articleship (CA)** — verifies client payroll, catches PF/ESI wage-base errors in audit.

Even if you never "do payroll," every finance person books the salary journal and answers the auditor's question: *"Does statutory dues payable tie to what was actually deposited?"*

The gap: why companies want this (and college didn't teach it)

MBA and CA-Inter teach you that "salary is an expense" and that "Section 192 requires TDS." What they don't teach:

- The difference between **CTC, gross, and take-home** — three numbers that confuse every fresher and every new joiner you'll have to explain it to.
- That PF is on **Basic + DA** (capped at ₹15,000 wage), ESI is on **gross ≤ ₹21,000**, and PT is a **slab by state** — three different wage bases, three different rules.
- The **old vs new tax regime** choice and how it changes monthly TDS.
- That TDS on salary is deposited by the **7th**, PF by the **15th**, ESI by the **15th**, and the quarterly **24Q** return is what actually populates the employee's Form 26AS/AIS.

Colleges test definitions; employers test whether you can produce a payroll register, a challan, and a Form 16 that reconciles. That reconciliation muscle is the gap.

What "proficient" looks like

A job-ready person can, unaided:

- Build a **salary structure** from a CTC number, splitting Basic/HRA/allowances correctly.
- Compute **monthly TDS** under both regimes by annualising, applying deductions, and dividing tax by remaining months.
- Calculate **PF (12%+12%), ESI (0.75%+3.25%), PT** on the correct wage bases.
- Produce a **payroll register**, pass the **journal entry**, and reconcile statutory-dues ledgers to challans paid.
- Know the **due dates** and the **forms** (24Q, ECR, ESI return, Form 16 Part A + B).

Hands-on: how to actually do it

1. Salary structure from CTC (Excel)

A common ₹9,00,000 CTC split. Layout with formulas (Basic = 40% of CTC is a typical policy):

Component	Formula (cell refs)	Monthly	Annual
Basic	<code>=ROUND(CTC*0.40/12,0)</code>	30,000	3,60,000
HRA	<code>=ROUND(Basic*0.50,0)</code> (metro)	15,000	1,80,000
Special allowance	balancing figure	20,500	2,46,000
Employer PF	<code>=ROUND(MIN(Basic,15000)*0.12,0)</code>	1,800	21,600
CTC	<code>=SUM(...)</code>	75,000	9,00,000

Gross = Basic + HRA + Special = ₹65,500/month. Employer PF is part of CTC but **not** part of gross.

2. Statutory deductions (the three wage bases)

```
Employee PF  =ROUND(MIN(Basic_DA,15000)*0.12,0)      ' 1,800
ESI (if gross ≤ 21000) =ROUND(Gross*0.0075,0)        ' 0 here, gross>21k
PT (Karnataka) =IF(Gross ≥ 25000,200,0)              ' 200
```

ESI applies only when gross ≤ ₹21,000 (₹25,000 for disabled). Employer ESI = 3.25% of gross.

3. Monthly TDS on salary — the annualise-and-divide method

```
Step 1 Projected annual gross      = monthly gross × 12 (+ bonus already known)
Step 2 Less: exemptions (HRA, std ded ₹50k)
Step 3 Less: Chapter VI-A (80C, 80D...) - only if OLD regime
Step 4 = Taxable income → apply slab → gross tax
Step 5 + 4% cess                    → total tax liability
Step 6 Monthly TDS = (total tax - TDS already deducted) / months remaining
```

Excel slab tax (new regime FY 2024-25) using a helper approach:

```
=ROUND(
  MAX(0,MIN(TI,700000)-300000)*0.05
+MAX(0,MIN(TI,1000000)-700000)*0.10
+MAX(0,MIN(TI,1200000)-1000000)*0.15
+MAX(0,MIN(TI,1500000)-1200000)*0.20
+MAX(0,TI-1500000)*0.30 ,0)
```

Then `Tax_with_cess = Tax*1.04`, and apply the **87A rebate** (nil tax if taxable ≤ ₹7,00,000 under new regime).

4. The payroll journal entry

For total gross ₹6,55,000, employee PF ₹18,000, TDS ₹40,000, ESI ee ₹0, PT ₹2,000, plus employer PF ₹18,000:

Account	Dr	Cr
Salaries & Wages A/c	6,55,000	
Employer PF Contribution A/c	18,000	
To TDS Payable (Sec 192)		40,000
To PF Payable (ee 18,000 + er 18,000)		36,000
To PT Payable		2,000
To Salary Payable (net)		5,95,000

On payment of net salary: Salary Payable Dr / To Bank . On depositing each statutory due: PF Payable Dr / To Bank , etc. The payable ledgers should hit **zero** after deposit — that is your reconciliation.

5. Portal click-paths (compliance run)

- **TDS challan (ITNS 281):** incometax.gov.in → e-Pay Tax → New Payment → *TDS on Salary (192)* → Assessment Year → fill tax/interest → pay → save the **CIN/BSR + challan no.** By the **7th**.
- **PF (ECR):** unifiedportal-emp.epfindia.gov.in → Payments → ECR Upload → upload text file → verify → Prepare Challan → Pay. By the **15th**.
- **ESI:** esic.in → File Monthly Contribution → enter wages → Submit → Pay online. By the **15th**.
- **Form 24Q (quarterly):** prepare via RPU utility → validate with FVU → upload on TRACES/e-filing → download **Form 16 Part A** from TRACES after processing.

Worked example / mini-project

Rohan, ₹9,00,000 CTC, joins 1 Apr, new regime, no 80C. Reproduce his year:

- Monthly gross = ₹65,500 → annual gross = ₹7,86,000.
- Less standard deduction ₹50,000 → **taxable = ₹7,36,000**.
- Slab tax (new): 3–7L @5% = ₹20,000; 7–7.36L @10% = ₹3,600 → ₹23,600.
- 87A rebate: taxable > ₹7,00,000, so **no rebate**. Tax = ₹23,600.
- Cess 4% = ₹944 → **annual tax = ₹24,544**.
- **Monthly TDS = 24,544 / 12 = ₹2,045** (round; adjust in March).

Monthly deductions: PF ₹1,800 + PT ₹200 + TDS ₹2,045 = ₹4,045. **Take-home = 65,500 – 4,045 = ₹61,455.**

Now build the full 12-row payroll register in Excel with columns *Basic, HRA, Special, Gross, PF, PT, TDS, Net*, sum the TDS column (₹24,540) and confirm it matches the four 24Q quarterly returns and Rohan's Form 16 Part B. If they tie, your compliance run is clean.

How it's tested

Interview questions: - "Difference between CTC, gross and net?" (you must draw the three wage bases) - "What's the TDS due date and what happens if you miss it?" (7th; 1.5%/month interest + Sec 40(a)(ia))

disallowance) - "PF is calculated on what?" (Basic + DA, capped ₹15,000) - "Old vs new regime — which gives lower TDS for someone with ₹1.5L 80C and ₹2L home-loan interest?"

Practical assessments: - A **timed Excel test**: "Here's a CTC, build the salary structure and compute monthly TDS both regimes." (45 min) - A **reconciliation case**: "Statutory dues payable shows ₹1,10,000; challans total ₹95,000 — find the ₹15,000 gap." (usually an employer-PF line not deposited or an admin-charge omission) - "**Prepare Form 16 Part B** from this payroll register."

Common mistakes & how pros avoid them

Mistake	Fix
PF on gross instead of Basic+DA	Wage base = Basic+DA, <code>MIN(... , 15000)</code> cap
Forgetting employer PF/ESI in CTC and in the journal	Employer contributions are a cost + a payable, not just employee side
ESI applied above ₹21,000 gross	ESI ceases once gross crosses ₹21,000 (continues till contribution-period end)
Depositing TDS but not filing 24Q	No 24Q → nothing in employee's 26AS → Form 16 Part A can't generate
Rebate 87A confusion	New regime: nil tax ≤ ₹7L taxable; ₹1 over means full slab tax (marginal relief applies)
Standard deduction missed	₹50,000 (₹75,000 new regime FY24-25) available to all salaried
Statutory dues not reconciled to challans	Every payable ledger must zero out post-deposit each month

Pros keep a **compliance calendar** (7th TDS, 15th PF/ESI, quarter-end 24Q) and never close the month until payable ledgers reconcile to the CIN/challan numbers.

Learn-it roadmap & resources

Time to proficiency: 3–4 weeks if you already know basic accounting.

- Week 1 — Salary structuring + the three wage bases. Build 5 dummy structures in Excel.
- Week 2 — TDS on salary both regimes; reproduce the worked example, then vary 80C/HRA.
- Week 3 — Run one full mock cycle: register → journal → challans → 24Q → Form 16.
- Week 4 — Do it inside **TallyPrime payroll** and on the **EPFO/ESIC demo** flows.

Resources: - **Free**: ClearTax and TaxAdda salary/TDS guides; EPFO & ESIC official portals; income-tax e-filing help section; RPU utility docs (Protean/NSDL). - **Paid**: TallyPrime payroll module; Udemy "Indian Payroll & Statutory Compliance" courses; greytHR / Zoho Payroll free trials to see a real SaaS payroll run. -

Certification: CA-Inter Taxation already covers Sec 192; NISM has none here, but greytHR Academy and Tally certifications signal payroll-tool fluency.

Quick-reference

Item	Rule / Rate	Due date	Form
TDS on salary	Sec 192, avg rate, annualise ÷ months	7th next month	Challan 281 → 24Q (qtrly)
PF	12% ee + 12% er on Basic+DA (cap ₹15,000)	15th	ECR
ESI	0.75% ee + 3.25% er on gross ≤ ₹21,000	15th	Monthly contribution
Professional Tax	State slab (KA/MH ≈ ₹200/mo max ₹2,500/yr)	varies by state	State PT return
Form 16	Part A (TRACES) + Part B (employer)	by 15 Jun	Form 16
Standard deduction	₹50,000 old / ₹75,000 new (FY24-25)	—	—
87A rebate (new)	Nil tax if taxable ≤ ₹7,00,000	—	—
Late TDS interest	1% (not deducted) / 1.5% (not paid) per month	—	—

Golden checks: gross = Basic+HRA+allowances (no employer PF); take-home = gross – PF – PT – TDS – ESI(ee); every statutory-payable ledger must zero out after deposit; TDS column total = sum of four 24Q returns = Form 16 Part B.

Handling tax notices & assessments

What it is & where it's used

A tax notice is a formal communication from the Income Tax Department asking you to confirm something, produce evidence, or explain a mismatch. Handling them means: reading the notice correctly, identifying the section it was issued under, gathering the right documents, drafting a reply, and filing the response on the e-filing / e-proceedings portal before the deadline — without escalating a routine query into a full-blown assessment or penalty.

This is one of the most billed, most feared, and least-taught skills in Indian finance. It shows up everywhere:

Role	How they touch notices
Accounts / Finance executive	Receives 143(1) intimations for the company, reconciles the mismatch, books the demand/refund
Tax associate (CA firm / Big 4)	Drafts replies to 143(2), 142(1), 148 for dozens of clients
Payroll / TDS team	Handles TRACES defaults, 200A intimations, short-deduction notices
Finance manager / controller	Signs off on representation, manages assessment exposure and provisions
Founder / SME owner	Personally liable — needs someone who can read a notice and not panic

The moment a notice lands in the inbox, everyone looks for the one person who "knows how to handle it." That person gets promoted and paid.

The gap: why companies want this (and college didn't teach it)

An MBA teaches you the *theory* of assessment — sections, timelines, appellate hierarchy — as exam facts. It never shows you an actual notice PDF, never makes you log into the portal, never makes you draft a reply under a 15-day clock. The gap is entirely operational:

- College teaches "Section 143(1) is a summary assessment." It never shows you that the intimation is an auto-generated CPC document where **Column A (as filed)** and **Column B (as computed)** sit side by side, and your whole job is to explain the delta.
- College never teaches the **e-Proceedings** tab, the difference between a mere *intimation* and an *adverse* notice, or that ignoring a 143(1) refund-adjustment proposal for 30 days = deemed acceptance.
- Faceless assessment (from 2020) changed everything to written submissions uploaded online. There is no "going to the officer's chamber" anymore — your **drafting quality is the representation**. MBAs are never taught to write a submission.

Employers pay for the person who can turn a scary PDF into a calm, evidenced, on-time reply. That is a learnable, mechanical skill — and it's the gap this chapter closes.

What "proficient" looks like

A job-ready person, handed a notice, can unaided:

1. **Identify the section and sub-type** within 60 seconds (intimation vs scrutiny vs reassessment).
2. State the **response deadline and consequence of missing it**.
3. Pull the **matching data** — ITR, Form 26AS, AIS/TIS, Form 16/16A, books, bank statements — and build a reconciliation.
4. Draft a **point-wise reply** that answers each query with a document reference (Annexure-1, -2...).
5. File it via **e-Proceedings**, attach a consolidated PDF, and download the acknowledgement.
6. Know when to **agree and pay**, when to **contest**, and when to escalate to a CA/counsel.

Hands-on: how to actually do it

Step 1 — Decode the section

Section	What it is	Trigger	Typical deadline	Consequence of ignoring
143(1)	Intimation (summary processing by CPC)	Arithmetic error, TDS/tax mismatch, disallowance u/s 143(1)(a)	30 days to respond to adjustment proposal	Adjustment auto-confirmed; demand raised
142(1)	Inquiry before assessment	Non-filing, or AO wants documents/info	As stated (often 15 days)	Best-judgment assessment u/s 144; penalty u/s 272A
143(2)	Scrutiny notice	Return picked for detailed scrutiny (CASS/manual)	Must be served within 3 months from end of FY in which return filed ; reply as scheduled	Assessment proceeds; adverse additions
148	Income escaping assessment (reassessment)	AO has "information" income escaped; preceded by 148A show-cause	As stated (30 days typical)	Reassessment, tax + interest + penalty
156	Notice of demand	Follows any order creating a demand	30 days to pay	1% p.m. interest u/s 220(2); recovery
245	Adjustment of refund against demand	Old demand outstanding	30 days to respond	Refund adjusted

Step 2 — Log in and locate it

Portal click-path (incometax.gov.in):

Login → Pending Actions → e-Proceedings
 → select the AY → View Notices
 → read the notice PDF + "Response" button
 → Submit Response → upload PDF (max ~5 MB/attachment)
 → e-Verify (Aadhaar OTP / DSC) → download Acknowledgement (Transaction ID)

For 143(1) mismatches specifically: Pending Actions → Response to Outstanding Demand or the "Agree / Disagree" grid inside the intimation.

Step 3 — Build the reconciliation (Excel)

The core analytical task in 90% of notices is: *the department's number ≠ your number — explain the gap*. A 143(1)(a) TDS mismatch is a classic:

```
' Match income booked vs AIS/26AS by TAN/party
=XLOOKUP(A2, AIS!$A:$A, AIS!$C:$C, "NOT IN AIS")

' Gap column
=Books_Amount - AIS_Amount

' Flag material differences
=IF(ABS(D2)>1000, "EXPLAIN", "OK")

' TDS credit reconciliation
=SUMIF('26AS'!B:B, A2, '26AS'!D:D)   ' TDS per 26AS for this TAN
```

Put it in a clean table you can paste into the reply and attach:

Party / TAN	As per 26AS/AIS (₹)	As per Books/ITR (₹)	Difference (₹)	Reason
ABC Ltd / MUMA1234B	5,00,000	5,00,000	0	Matched
XYZ Bank / DELX9876C	82,400	0	82,400	FD interest — accrued, offered in AY 2024-25

Step 4 — Draft the reply (reusable skeleton)

To: The Assessing Officer / CPC / NaFAC

PAN: ABCDE1234F | AY: 2024-25

Notice u/s 143(1)(a) dated 12-06-2024, DIN: <DIN>

Sub: Response to proposed adjustment – reg.

1. This is with reference to the captioned intimation proposing an adjustment of ₹82,400 on account of interest income appearing in Form 26AS but allegedly not offered to tax.
2. The assessee submits that the said interest was offered under "Income from Other Sources" in Schedule OS, Row 3 of the return (refer Annexure-1: ITR-V / computation extract).
3. The apparent mismatch arises solely due to TDS being reflected in 26AS in AY 2024-25 while the income was offered on accrual basis. Reconciliation enclosed as Annexure-2.
4. It is therefore prayed that the proposed adjustment be dropped and the return be processed as filed.

Enclosures: Annexure-1 (Computation), Annexure-2 (Reconciliation),
Annexure-3 (Bank interest certificate)

Merge everything into **one indexed PDF** (reply + annexures) before uploading.

Worked example / mini-project

Scenario. Rao Traders Pvt Ltd files ITR for AY 2024-25 declaring total income ₹42,00,000, tax paid ₹10,92,000. On 12 Jun 2024 CPC issues a **143(1)(a)** intimation:

- Adds ₹1,20,000 — "contract receipts in 26AS not reconciled with turnover."
- Disallows ₹35,000 — "late deposit of employee PF, u/s 36(1)(va)."
- Proposed demand: ₹48,050 (tax + interest u/s 234).

Your workflow:

1. **Read** → It's an *intimation with adjustment proposal*, not scrutiny. 30-day clock.
2. **Reconcile the ₹1,20,000.** Pull 26AS contract receipts (Section 194C) vs revenue ledger:

```
=SUMIF('26AS'!C:C, "194C", '26AS'!E:E)      ' 26AS 194C receipts  
=SUMIFS(Sales!Amt, Sales!Party, "Bharat Infra")
```

Finding: the ₹1,20,000 is a **March advance** appearing in 26AS (deductor booked it) but recognised as revenue in the *next* year per AS-9/Ind AS 115. **Contest** — it's timing, not escapement.

3. **The ₹35,000 PF.** Check challan dates vs due date. EPF for Feb 2024 (due 15 Mar) was actually deposited **22 Mar**. Post *Checkmate Services (SC, 2022)*, employee-contribution deposited after the PF-Act due date is **not deductible**. **Agree** — do not fight a lost cause.
4. **Respond on portal:** Disagree on ₹1,20,000 (with reconciliation Annexure), Agree on ₹35,000.
5. **Revised demand** after acceptance: tax on ₹35,000 @ ~26% ≈ ₹9,100 + interest ≈ ₹1,500 = **₹10,600**. Pay via **e-Pay Tax** → **Challan (Minor Head 400 – tax on regular assessment)**.
6. **Journal entries:**

Particulars	Dr (₹)	Cr (₹)
Income Tax Expense (prior period) A/c	10,600	
To Provision for Tax / Bank A/c		10,600
<i>(Being demand u/s 143(1) accepted for PF disallowance, AY 24-25)</i>		

The ₹1,20,000 timing item: **no entry** — it reverses naturally as it's taxed next year. Download the acknowledgement (Transaction ID), file it. Done in under two hours.

How it's tested

Interview questions: - "What's the difference between 143(1) and 143(2)?" (Summary/CPC vs detailed scrutiny/AO.) - "You get a 143(1)(a) with a TDS mismatch — walk me through your first four steps." - "Client got a 148. What do you check before replying?" (Whether 148A procedure was followed, validity of reopening, time limits, the "information" basis.) - "Deadline for responding to a 143(1) adjustment? Consequence of missing it?" (30 days; deemed acceptance.) - "Employee PF deposited late — deductible?" (No, post-Checkmate.)

Practical assessments companies actually give: - **The "here's a notice PDF, draft the reply" test** — a sample intimation and a folder of documents; produce the reconciliation + reply in 60–90 min. - **A mismatch reconciliation in Excel** — 26AS vs books, find and explain every gap. - **A portal walkthrough** — "show me where you'd file the response" (screen-share). - **Case judgment** — a mixed notice where some items should be agreed and some contested; they test whether you know *when to fight*.

Common mistakes & how pros avoid them

Mistake	Why it hurts	Pro habit
Treating every 143(1) as an emergency	Most are refunds/no-action intimations	Read the last page — "no action required" vs adjustment proposal
Missing the 30-day window	Adjustment auto-confirmed, demand raised	Diary every DIN with deadline the day it arrives
Fighting genuinely lost items (late PF, bogus expense)	Invites penalty, wastes goodwill	Concede clean losers, contest strong points only
Replying without annexures / DIN reference	Reply treated as unsubstantiated	Every claim → an annexure; quote DIN & AY on page 1
Uploading 12 separate files	Officer can't follow; looks amateur	One indexed, bookmarked PDF
Not verifying the notice is genuine	Fraud/phishing PDFs exist	Verify DIN on portal: Authenticate Notice/Order Issued by ITD
Ignoring AIS/TIS	Half of all mismatches originate there	Reconcile books → AIS/TIS → 26AS every time

Learn-it roadmap & resources

Time to proficiency: 4–6 weeks of deliberate practice alongside a job.

Week	Focus
1	Memorise the section table; read 5 real anonymised notices
2	Master the portal: e-Proceedings, Response to Demand, Authenticate DIN, e-Pay Tax
3	Build 3 reconciliations (26AS/AIS vs books) in Excel end-to-end
4	Draft 3 replies from templates; get them reviewed by a CA
5–6	Shadow live notices; learn agree-vs-contest judgment

Resources: - **Income Tax portal help section** + the "e-Proceedings" user manual (free). - **income-tax.gov.in** → **AIS** and **TRACES** (for TDS/26AS) — practice logins. - Bare Act: **Sections 139–158** (skim), free on incometaxindia.gov.in. - **Taxmann / Taxsutra** blogs for landmark cases (Checkmate, Ashish Agarwal on 148). - ICAI's **Background Material on Faceless Assessment** (free PDF). - Certification: **ICAI Certificate Course on Faceless Assessment**, or any GST+IT practitioner course; the CA Inter Taxation paper itself covers the statutory base.

Quick-reference

Section cheat-sheet - 143(1) — CPC intimation → **30 days** to respond to adjustment - 142(1) — inquiry / call for docs → reply or face 144 - 143(2) — scrutiny → served within **3 months** of FY-end of filing - 148

— reassessment → preceded by **148A** show-cause - 156 — demand notice → **pay in 30 days**, else 1% p.m. u/s 220(2) - 245 — refund adjusted against old demand

Portal paths - File reply: Pending Actions → e-Proceedings → Submit Response - Pay demand: e-Pay Tax → Minor Head 400 - Verify notice: Authenticate Notice/Order Issued by ITD (use DIN)

Excel workhorses - =XLOOKUP(party, AIS_range, amt_range, "NOT IN AIS") - =SUMIF('26AS'!TAN, party, '26AS'!TDS) - =IF(ABS(Books-AIS)>1000, "EXPLAIN", "OK")

Golden rules 1. Identify the section first. 2. Note the deadline the day it arrives. 3. Reconcile before you draft. 4. Concede losers, contest winners. 5. One indexed PDF, every claim annexed, DIN on page 1. 6. Always download the acknowledgement.

International tax & transfer pricing basics

What it is & where it's used

Cross-border money movement triggers a second layer of tax rules on top of domestic law. Three things dominate day-to-day practice:

1. **Withholding tax (WHT) on foreign payments** — when an Indian company pays a non-resident (software licence, consultancy, interest, royalty, dividend), it must deduct tax at source under **Section 195** before remitting, and file **Form 15CA/15CB**.
2. **DTAA (Double Taxation Avoidance Agreement)** — treaties India signs with ~95 countries that cap those WHT rates and decide *which* country gets to tax.
3. **Transfer pricing (TP)** — when two related entities (an Indian arm and its US/UAE/Singapore parent) trade with each other, the price must be **arm's length** (what unrelated parties would charge), documented, and reported.

Who does this: International tax analysts and TP associates in Big 4 and MNC in-house teams; finance/AP staff at any GCC (Global Capability Centre) or exporter who process foreign vendor invoices; treasury; and CA-firm associates. If you are targeting a GCC in Bengaluru/Hyderabad/Pune or an MNC shared-services role, this is a core, screened skill.

The gap: why companies want this (and college didn't teach it)

An MBA teaches "double taxation is bad, treaties exist." Employers pay for the *mechanics*: **which rate applies, which form to file, and by when**. Every foreign vendor payment a GCC makes stops at the finance desk asking: *do we withhold, how much, and is a 15CB certificate needed?* Get it wrong and the company either over-deducts (vendor screams) or under-deducts (30% disallowance under **Section 40(a)(i)** plus interest and penalty).

The specific gaps: - Nobody teaches the **195 → DTAA → 15CA/15CB decision tree**. - College never mentions **Tax Residency Certificate (TRC)** and **Form 10F** — the two documents without which you *cannot* apply the lower treaty rate. - TP is taught as economics; industry wants **benchmarking, the five methods, Form 3CEB, and a Local File** — deadlines and documentation, not theory. - **PE (Permanent Establishment), BEPS, GAAR**, and now **Pillar Two 15% global minimum tax** are interview-live but classroom-absent.

What "proficient" looks like

A job-ready person can, unaided:

- Take a foreign vendor invoice and determine **taxability, section, DTAA article, and rate** — and explain *why*.
- Fill **Form 15CA (Part A/B/C/D)** and know when a CA's **Form 15CB** is mandatory.
- Apply a **treaty rate** correctly, insisting on **TRC + Form 10F + no-PE declaration** on file.
- Gross-up when the contract is "**net of tax**."
- Explain the **five TP methods** and pick the right one; read a **benchmarking study** and its arm's-length range (inter-quartile).

- Know the **Form 3CEB / Master File (3CEAA) / CbCR (3CEAD)** thresholds and due dates.

Hands-on: how to actually do it

Step 1 — The Section 195 decision tree

```

Is the payee a non-resident? — No —> use normal TDS (194J etc.)
    | Yes
Is the income taxable in India (Sec 5/9 - source rule)? — No —> no WHT (but 15CA Part D)
    | Yes
Rate = LOWER of (a) Income-tax Act rate and (b) DTAA rate
    | (DTAA only if payee gives TRC + Form 10F + no-PE declaration)
Deduct, deposit by 7th of next month, file 15CA (+15CB if remittance is taxable & > ₹5 lakh/yr
  
```

Step 2 — Common Act vs treaty rates (add surcharge + 4% cess to Act rates)

Payment	Act rate (Sec)	Typical DTAA rate
Royalty / FTS (fees for technical services)	20% (115A)	10–15%
Interest	20% (194LC etc.)	10–15%
Dividend	20% (115A)	5–15%

Step 3 — WHT calculation in Excel

```

# B2 = invoice (foreign, gross), B3 = Act rate, B4 = DTAA rate
# WHT rate actually applied:
=MIN(B3,B4)
# WHT amount (treaty, no surcharge/cess on treaty rate):
=B2*MIN(B3,B4)
# If contract is "NET OF TAX" – gross up:
=B2/(1-MIN(B3,B4))      # grossed-up amount
=B2/(1-MIN(B3,B4))-B2   # tax borne by payer
  
```

Worked gross-up: vendor must *receive* \$10,000 net, treaty rate 10% → gross = $10000/(1-0.10) =$ **\$11,111.11**, WHT = **\$1,111.11**.

Step 4 — Journal entries (₹, royalty of ₹10,00,000, 10% treaty WHT, payer bears nothing)

Date	Particulars	Dr (₹)	Cr (₹)
Invoice booked	Royalty expense A/c Dr	10,00,000	
	To Foreign vendor A/c		9,00,000
	To TDS payable (195) A/c		1,00,000
Remittance	Foreign vendor A/c Dr	9,00,000	
	To Bank A/c		9,00,000
Deposit TDS (by 7th)	TDS payable (195) A/c ... Dr	1,00,000	
	To Bank A/c		1,00,000

Step 5 — File Form 15CA / 15CB (income-tax portal)

incometax.gov.in → login → e-File → Income Tax Forms → File Now

→ Form 15CA

Part A : taxable remittance ≤ ₹5 lakh in FY

Part B : taxable, > ₹5 lakh, order/certificate u/s 195(2) obtained

Part C : taxable, > ₹5 lakh – REQUIRES CA's Form 15CB first

Part D : NOT taxable in India (no WHT)

→ For Part C: CA fills & e-verifies Form 15CB (DIN, amount, rate, DTAA article)

→ Acknowledgement number goes to the bank (AD) with Form A2 to release funds.

Step 6 — The five transfer-pricing methods

Method	One-line logic	Best when
CUP (Comparable Uncontrolled Price)	Compare the exact price to a third-party price	Commodities, loans, royalties with public comparables
RPM (Resale Price)	Work back from resale margin	Distributor buys & resells with no value-add
CPM (Cost Plus)	Cost + arm's-length markup	Contract manufacturer / service provider on cost
TNMM (Transactional Net Margin)	Compare <i>net</i> operating margin (OP/cost, OP/sales)	Default for GCC/IT/ITeS captives — most used in India
PSM (Profit Split)	Split combined profit by contribution	Highly integrated, unique intangibles

TNMM in Excel — the arm's-length range from a comparable set:

```
# C2:C11 = OP/OC margins of 10 comparables; B2 = tested party's OP/OC
=QUARTILE.INC(C2:C11,1)      # lower quartile (arm's-length floor)
=MEDIAN(C2:C11)              # median
=QUARTILE.INC(C2:C11,3)      # upper quartile (ceiling)
=IF(AND(B2 ≥ QUARTILE.INC(C2:C11,1), B2 ≤ QUARTILE.INC(C2:C11,3)), "Arm's length", "ADJUST to media
```

Step 7 — TP filing thresholds

Form	What	Trigger / due date
Form 3CEB	Accountant's report on all int'l & specified domestic transactions	Any int'l related-party txn — due 31 Oct
Master File (3CEAA)	Group-level info	Consolidated group revenue > ₹500 cr and int'l txn > ₹50 cr — 30 Nov
CbCR (3CEAD)	Country-by-country report	Group revenue > €750 mn (~₹6,750 cr)

Worked example / mini-project

Setup: *Nimbus Analytics India Pvt Ltd* is a captive (GCC) doing software development for its US parent, billed **cost + 15%**. Total operating cost FY25-26 = **₹40,00,000**. During the year it also pays **£20,000** to a UK consultant for technical services (contract is net of tax).

Part 1 — Transfer price (CPM/TNMM): - Revenue billed to parent = $40,00,000 \times 1.15 = \text{₹}46,00,000$; Operating profit = ₹6,00,000; **OP/OC = 15.0%**. - Benchmarking set (10 comparable IT captives), OP/OC margins: 11, 12, 12.5, 13, 14, **14.5, 15, 16, 18, 20**. - Lower quartile ≈ **12.63%**, median **14.25%**, upper quartile **16.5%**. - Tested margin 15% lies inside 12.63%–16.5% → **arm's length. No adjustment. Report in Form 3CEB.**

Part 2 — WHT on the UK payment (FTS): - India–UK DTAA, FTS/royalty rate = **10%** (10F + TRC + no-PE on file). - Net of tax → gross up: $20,000 / (1 - 0.10) = \text{£}22,222.22$; WHT = **£2,222.22**. - At ₹105/£: remit £20,000 (₹21,00,000), deposit WHT ₹2,33,333 by the 7th, file **Form 15CB (CA)** then **15CA Part C** (taxable, > ₹5 lakh), give ack + Form A2 to the bank.

Reproduce it: drop the 10 margins in a column, run the `QUARTILE.INC` formulas, and the gross-up formula for £20,000 — you have re-derived both the TP conclusion and the WHT.

How it's tested

Interview questions: - "Indian co pays a US company for cloud software — is it royalty/FTS? Do you withhold, at what rate, which form?" - "What is a PE and why does the parent care about creating one in India?" - "TRC missing — can you still apply the DTAA rate?" (No — TRC + Form 10F are mandatory.) - "Which TP method for a captive IT services centre, and why?" (TNMM.) - "What is the inter-quartile range and what happens if the tested margin falls below it?" - "One-line on BEPS / Pillar Two 15% minimum tax."

Practical assessments: - **Timed Excel/case:** given an invoice + a mini benchmarking table, compute the WHT, decide the 15CA part, and state whether the TP margin is arm's length. - **Form-fill drill:** map five

vendor invoices to 15CA Part A/B/C/D. - **Grossing-up test** on a net-of-tax contract (the classic trip-up). - **Read-a-TP-study**: hand you a benchmarking report, ask you to defend the comparables and the range.

Common mistakes & how pros avoid them

Mistake	Fix
Applying DTAA rate with no TRC + Form 10F on file	No documents → use the higher Act rate; collect docs before remitting
Adding surcharge + cess on top of the treaty rate	Treaty rate is the ceiling — apply it flat
Ignoring gross-up on "net of tax" contracts	Always check who bears the tax; divide by (1 – rate)
Filing 15CA Part D for a taxable remittance	Part D is only for non-taxable; taxable > ₹5L needs Part C + 15CB
Choosing comparables with different functions for TNMM	Match FAR (functions, assets, risks); reject product/geography mismatches
Missing 3CEB (31 Oct) — ₹1 lakh penalty	Calendar every related-party client separately
Forgetting equalisation levy / TDS 194-O on digital/e-com	Screen digital-service payments separately

Learn-it roadmap & resources

Time to job-ready: 8–12 weeks part-time.

- **Weeks 1–3**: Sections 5, 9, 195; WHT rates; do 20 15CA/15CB mappings. *ICAI International Taxation module* (free PDF) + the income-tax portal sandbox.
- **Weeks 4–6**: DTAA reading — pull the **India-US, India-UK, India-UAE, India-Singapore** treaties from incometaxindia.gov.in; practise finding the royalty/FTS/interest article and rate.
- **Weeks 7–9**: TP — the five methods, TNMM benchmarking, Rule 10B/10D; build one benchmarking sheet end-to-end.
- **Weeks 10–12**: BEPS Action Plans, PE, GAAR, **Pillar Two**; read the **OECD Transfer Pricing Guidelines** (free, skim) and a real Form 3CEB.

Resources: ICAI study material (free); OECD TP Guidelines & Model Tax Convention (free); Taxmann/Vinod Singhania *International Taxation* (paid); Big-4 alert emails (free). **Certifications**: ICAI's Diploma in International Taxation; the **ADIT (Advanced Diploma in International Taxation)** by CIOT UK — the gold standard for MNC/GCC international-tax roles.

Quick-reference

Item	Value
WHT on foreign payment section	195
Disallowance if not deducted	40(a)(i) — 100%
TDS deposit due	7th of next month
Treaty rate needs	TRC + Form 10F + no-PE declaration
15CA Part A	taxable ≤ ₹5L/FY
15CA Part C	taxable > ₹5L → needs 15CB
15CA Part D	not taxable
Gross-up (net of tax)	= amount / (1 - rate)
Arm's-length range	QUARTILE.INC(range,1) → QUARTILE.INC(range,3)
Default captive method	TNMM
Form 3CEB due	31 Oct
Master File / CbCR forms	3CEAA / 3CEAD
Global minimum tax	Pillar Two — 15%

Golden rule: Rate = lower of Act and DTAA — but only if TRC + 10F are on file; when in doubt, withhold higher and let the vendor claim credit.

Tax-tech & automation

What it is & where it's used

"Tax-tech" is the stack of software, scripts and glue that turns a manual, deadline-driven compliance job into a repeatable, auditable pipeline. In practice it means three things:

1. **Reconciliation engines** — matching GSTR-2B vs your purchase register, TDS 26AS/AIS vs books, bank vs cash book, vendor ledger vs their ledger.
2. **Return automation** — pushing invoice data from your ERP/accounting system to the GST portal, TRACES, or the income-tax utility via APIs or JSON, instead of keying it in.
3. **AI/ML assist** — document extraction (OCR of invoices), anomaly flags ("this HSN usually attracts 18%, you booked 5%"), and drafting notice replies.

Who needs it: GST practitioners, indirect-tax analysts in industry, TDS/payroll teams, statutory-audit associates running substantive testing, FP&A analysts who own the tax provision, and anyone in a **GSP/ASP** (GST Suvidha Provider / Application Service Provider) or Big-4 managed-services team. If your job title contains "tax", "compliance", "audit", "AR/AP", or "finance analyst", part of your value is now measured in *how few hours a month you spend keying and matching*.

The gap: why companies want this (and college didn't teach it)

MBA and CA-Inter teach you **what** GSTR-2B is and the *law* behind Section 16(2)(aa) ITC matching. They do not teach you what to do when you have a 40,000-row purchase register and a 38,000-row 2B that don't tie out, due tomorrow.

The industry reality:

College taught	Job actually needs
"Reconcile ITC as per rules"	Match 40k rows in 20 min with a repeatable macro
Definition of TDS sections	Bulk-validate 26AS vs books, isolate mismatches
Manual return filing walkthrough	Generate portal JSON from ERP, no re-keying
"Maintain documentation"	Version-controlled, audit-trailed, re-runnable

Companies pay for tax-tech because manual work **doesn't scale, isn't auditable, and breaks at month-end**. A person who can hand back a reconciled file with the mismatches *categorised and explained* is worth 3x one who "will get to it." This chapter closes the gap between knowing the rule and shipping the reconciled file.

What "proficient" looks like

A job-ready person can, **unaided**:

- Take two exports (register + 2B) and produce a four-bucket reconciliation — *matched, mismatch-in-value, in-books-not-in-2B, in-2B-not-in-books* — in Excel or Python.

- Write a `XLOOKUP` / `SUMIFS` recon and know its failure modes (duplicate GSTINs, trailing spaces, invoice-number formatting).
- Build the same recon in SQL when the data is 500k rows and won't fit Excel.
- Use a pivot / Power Query to refresh the recon monthly with one click.
- Read and generate the **GSTR-1 JSON schema**, understand the offline utility, and know where APIs (via a GSP) replace it.
- Explain what should stay manual (judgement, notice replies) vs automated (matching, arithmetic).

You are *not* expected to build the AI model. You are expected to **use** the tools and **verify** their output — the tool proposes, you dispose.

Hands-on: how to actually do it

1. The GST ITC reconciliation in Excel

Assume `Books` sheet and `GSTR2B` sheet, each with columns: `GSTIN`, `InvoiceNo`, `Taxable`, `IGST`, `CGST`, `SGST`. First build a clean match key (never match on invoice number alone — normalise it):

```
' Match key: GSTIN + cleaned invoice no (upper, no spaces/special chars)
=UPPER(SUBSTITUTE(TRIM([@GSTIN])&"|"&[@InvoiceNo]," ",""))
```

Pull the 2B taxable value against each books row:

```
=XLOOKUP([@MatchKey], GSTR2B[MatchKey], GSTR2B[Taxable], "NOT IN 2B", 0)
```

Bucket the result:

```
=IF(D2="NOT IN 2B","In books, not in 2B",
  IF(ROUND(D2-[@Taxable],0)=0,"Matched",
    "Value mismatch: "&TEXT(D2-[@Taxable],"₹#,##0")))
```

Reverse-check (rows in 2B missing from books) with a `COUNTIFS` on the 2B sheet:

```
=IF(COUNTIFS(Books[MatchKey],[@MatchKey])=0,"In 2B, not in books","OK")
```

Summarise with a pivot, or:

```
=SUMIFS(Books[IGST], Books[Bucket], "Matched")    ' safe-to-claim ITC
```

2. Same recon in SQL (when Excel dies)

```
SELECT
    COALESCE(b.match_key, g.match_key)          AS match_key,
    b.taxable                                  AS books_taxable,
    g.taxable                                  AS gstr2b_taxable,
    CASE
        WHEN b.match_key IS NULL THEN 'In 2B, not in books'
        WHEN g.match_key IS NULL THEN 'In books, not in 2B'
        WHEN ROUND(b.taxable - g.taxable, 0) = 0 THEN 'Matched'
        ELSE 'Value mismatch'
    END                                          AS bucket,
    ROUND(COALESCE(b.taxable,0) - COALESCE(g.taxable,0), 2) AS diff
FROM books b
FULL OUTER JOIN gstr2b g ON b.match_key = g.match_key
ORDER BY bucket, diff DESC;
```

A `FULL OUTER JOIN` on the normalised key is the entire recon — both "missing" buckets fall out for free. (In MySQL, which lacks `FULL OUTER JOIN`, emulate with `LEFT JOIN ... UNION ... RIGHT JOIN`.)

3. Automating it in Python (monthly, re-runnable)

```
import pandas as pd

def clean_key(df):
    df["key"] = (df["GSTIN"].str.strip().str.upper() + "|" +
                 df["InvoiceNo"].str.replace(r"[^A-Za-z0-9]", "", regex=True))
    return df

books = clean_key(pd.read_excel("books.xlsx"))
b2b   = clean_key(pd.read_excel("gstr2b.xlsx"))

m = books.merge(b2b, on="key", how="outer",
                suffixes=("_bk", "_2b"), indicator=True)

def bucket(r):
    if r["_merge"] == "left_only": return "In books, not in 2B"
    if r["_merge"] == "right_only": return "In 2B, not in books"
    return "Matched" if round(r.Taxable_bk - r.Taxable_2b) == 0 else "Value mismatch"

m["bucket"] = m.apply(bucket, axis=1)
m.to_excel("recon_output.xlsx", index=False)
print(m["bucket"].value_counts())
```

Run it every month by dropping two files in a folder — 30 seconds vs a day.

4. AI-assist: invoice extraction + anomaly flag

OCR a scanned invoice to structured fields (Tesseract free, or cloud Document AI), then apply a rules layer the "AI" can't be trusted to get right alone:

```
# after OCR gives fields dict: {"hsn": "8471", "rate": 5, "taxable": 100000}
EXPECTED = {"8471": 18}           # HSN 8471 (computers) → 18%
flag = "REVIEW: rate looks wrong" if EXPECTED.get(fields["hsn"]) != fields["rate"] else "ok"
```

The model reads; **your rules table decides**. That is the professional pattern for AI in compliance.

5. Portal / Tally click-paths

- **GSTR-1 (offline utility):** GST portal → Downloads → Offline Tools → *Returns Offline Tool* → paste/import Excel → *Generate JSON* → upload on portal → *Preview* → *Submit* → *File with EVC/DSC*.
- **GSTR-2B download:** portal → Returns Dashboard → select period → GSTR-2B → *Download* (Excel/JSON) — this is your recon input.
- **TallyPrime GSTR-1 export:** Gateway of Tally → Display More Reports → GST Reports → GSTR-1 → *Alt+E* (Export) → JSON → upload to portal.
- **API route:** enterprises skip the portal and file through a **GSP** (ClearTax/Cygnnet/Zoho) via authenticated API — data flows ERP → GSP → GSTN with an audit trail and no manual JSON.

Worked example / mini-project

Scenario: Acme Traders Pvt Ltd, March 2026. You must finalise ITC before filing GSTR-3B.

Purchase register (books): 5 invoices. GSTR-2B (as downloaded): 5 lines. Amounts in ₹.

Books

GSTIN	InvoiceNo	Taxable	IGST
27AAAC...1Z5	INV-001	1,00,000	18,000
27AAAC...1Z5	inv 002	50,000	9,000
29BBBC...4Z1	445	2,00,000	36,000
24CCCC...7Z9	A-99	80,000	14,400
07DDDD...2Z3	771	60,000	10,800

GSTR-2B

GSTIN	InvoiceNo	Taxable	IGST
27AAAC...1Z5	INV001	1,00,000	18,000
27AAAC...1Z5	INV002	50,000	9,000
29BBBC...4Z1	445	1,80,000	32,400
07DDDD...2Z3	771	60,000	10,800

After `clean_key` normalises invoice numbers, the recon produces:

Bucket	Invoice	Diff (Taxable)	Action
Matched	INV-001, inv 002, 771	0	Claim ITC fully
Value mismatch	445	₹20,000	Vendor under-reported; claim ₹32,400 only, follow up
In books, not in 2B	A-99 (₹80,000)	—	ITC not eligible yet (Sec 16(2)(aa)); park in "ITC not available"

ITC decision: Eligible now = 18,000 + 9,000 + 32,400 + 10,800 = **₹70,200**. Held back = ₹14,400 (A-99) + ₹3,600 (445 shortfall) = ₹18,000, tracked in a register until it appears in a later 2B.

Journal for the eligible ITC:

Account	Dr (₹)	Cr (₹)
Purchases	3,90,000	
Input IGST (eligible)	70,200	
ITC on hold (not in 2B)	18,000	
Trade Payables		4,78,200

That single reconciled file + register + entry is exactly the deliverable an employer means by "close the GST."

How it's tested

Interview questions - "Your purchase register shows ₹5L ITC but 2B shows ₹4.6L. Walk me through what you do." (Answer: four-bucket recon, hold ineligible under 16(2)(aa), track in a register, chase vendors.) - "How do you match when invoice numbers are formatted differently?" (Normalise: TRIM, UPPER, strip special chars; match on GSTIN+cleaned no, not amount.) - "When would you move from Excel to SQL/Python?" (Row count > ~100k, monthly repeatability, audit trail.)

Practical assessments companies give - A **timed Excel test (30–45 min)**: two messy sheets, "reconcile and give me the mismatch summary." They watch for XLOOKUP/Power Query, key normalisation, and whether you catch duplicates. - A **SQL screen**: "write the join that shows only mismatches" — they want FULL OUTER JOIN and a CASE bucket. - A **case study**: raw GSTR-2B + register files emailed to you, produce a recon and an ITC eligibility note. Grading is on *correct buckets and the eligibility judgement*, not fancy formulas.

Common mistakes & how pros avoid them

Mistake	Why it bites	Pro habit
Matching on invoice number alone	Same number across vendors → false matches	Always GSTIN + normalised invoice key
Ignoring trailing spaces / case	INV 001 ≠ INV001 → false mismatches	TRIM , UPPER , SUBSTITUTE /regex first
Trusting VLOOKUP with duplicates	Returns first hit, hides duplicates	COUNTIFS to detect dupes before matching
Claiming ITC not in 2B	Sec 16(2)(aa) violation → interest + penalty	Park in "ITC on hold" register
Overwriting last month's file	No audit trail	Dated files / Git / Power Query source refresh
Blindly trusting AI/OCR output	Silent wrong HSN or rate	Rules layer + human review of exceptions
Hard-coding, no re-run	Breaks next month	Parameterise (Power Query, function, script)

Learn-it roadmap & resources

Time to job-ready: 8–10 weeks, part-time.

Weeks	Focus	Resource (free unless noted)
1–2	Excel recon: XLOOKUP, SUMIFS, COUNTIFS, pivots	ExcelJet, Chandoo.org
3–4	Power Query (refreshable recons)	Microsoft Learn: Power Query
5–6	SQL joins on real files	SQLBolt, Mode SQL Tutorial
7–8	Python + pandas merges	Kaggle "Pandas" micro-course
9–10	GST portal/JSON + a GSP trial	GSTN offline utility docs; ClearTax/Zoho free tier

Certifications that signal this: ICAI's *Certificate Course on GST*; Microsoft **PL-300 (Power BI)** for the analytics angle; any GSP vendor's product certification (ClearTax/Cygnet) if you target managed-services roles. None are mandatory — a **portfolio recon file** on GitHub beats a certificate in interviews.

Quick-reference

Task	Tool	Command / step
Match key	Excel	<code>=UPPER(SUBSTITUTE(TRIM(GSTIN)&" "&Inv," ",""))</code>
Pull value	Excel	<code>=XLOOKUP(key, rng_key, rng_val, "NOT FOUND")</code>
Detect duplicate	Excel	<code>=COUNTIFS(rng, key)>1</code>
Full recon	SQL	<code>FULL OUTER JOIN ... ON key + CASE bucket</code>
Missing rows	SQL	<code>WHERE b.key IS NULL OR g.key IS NULL</code>
Monthly recon	Python	<code>df1.merge(df2, on="key", how="outer", indicator=True)</code>
Refreshable recon	Power Query	Data → Get Data → merge queries → Refresh
GSTR-1 file	Portal	Offline Tool → Generate JSON → upload → File (EVC/DSC)
GSTR-2B	Portal	Returns Dashboard → 2B → Download
Tally export	TallyPrime	GST Reports → GSTR-1 → Alt+E → JSON
API filing	GSP	ERP → GSP (ClearTax/Cygnnet) → GSTN

Golden rules: normalise before you match · never claim ITC absent from 2B · the tool proposes, you dispose
· every recon must re-run next month unchanged.

The Tax Role Interview & Practical Test

What it is & where it's used

The tax role interview is a two-part gate: a **conceptual conversation** ("explain input tax credit blocking") and a **practical test** where you actually *do the work* — compute a GST liability, calculate TDS on a vendor bill, or reconcile GSTR-2B against the purchase register in Excel. This is where 60% of MBA-Finance candidates lose the offer: they can define ITC but freeze when handed a messy purchase dump and told "reconcile this, you have 30 minutes."

Roles that run this gate: **Tax Executive / Analyst** (Big 4 compliance teams, mid-tier CA firms), **Accounts Payable with TDS ownership**, **GST Compliance Associate**, **Finance Executive** at any company above ~₹5 crore turnover, and offshore **India-tax delivery centres** (EY GDS, Deloitte USI, PwC AC). Globally, the equivalent is a VAT/sales-tax analyst or an indirect-tax associate — same muscle, different rate tables.

The gap: why companies want this (and college didn't teach it)

College teaches you the *Income Tax Act sections* and the *CGST Act charging provisions*. It never makes you file a single GSTR-3B or match a single invoice. The gap is **execution under real-world mess**:

College taught	The job actually needs
"TDS u/s 194J is 10%"	Vendor bill has GST — do you deduct TDS on the base or the gross?
"ITC is available on inputs"	2B shows the invoice but your vendor filed late — claim now or defer?
Definition of RCM	Booking the RCM self-invoice and the offsetting ITC in Tally
"File GSTR-3B monthly"	Reconciling 2B vs books, finding the 12 mismatches, and drafting the follow-up email

Employers pay for someone who closes a period **without supervision** and **without penalty-triggering errors**. That skill is invisible on a marksheet, so they test it live.

What "proficient" looks like

The concrete bar a job-ready candidate clears unaided:

- Given a vendor invoice, compute **GST (correct place-of-supply → CGST+SGST vs IGST)** and **TDS on the base value excluding GST**, and state both due dates.
- Take a raw purchase register + a downloaded **GSTR-2B JSON/Excel** and produce a reconciliation flagging: matched, in-books-not-in-2B, in-2B-not-in-books, and value/GSTIN mismatches.
- Pass the **220-day / rule-37 / Section 16(4)** ITC eligibility tests from memory.
- Write the **journal entries** for a purchase with ITC, an RCM transaction, and a TDS deduction.
- Know the **return calendar** cold: GSTR-1 (11th), GSTR-3B (20th), TDS payment (7th), TDS return (quarterly, 31st of next month).

Hands-on: how to actually do it

1. Compute GST + TDS on a vendor bill

A professional-services vendor in the same state bills you **₹1,00,000 + 18% GST**.

```
Base value          = 1,00,000
GST @ 18% (9+9)    = 18,000    → CGST 9,000 + SGST 9,000 (intra-state)
Invoice total      = 1,18,000

TDS u/s 194J @10% = 10,000    ← on BASE (₹1,00,000), NOT on ₹1,18,000
Net payable        = 1,18,000 - 10,000 = 1,08,000
```

The single most-tested trap: **TDS is deducted on the value excluding GST** when GST is shown separately (CBDT Circular 23/2017). Interstate? The ₹18,000 becomes IGST instead of CGST+SGST.

2. Excel formulas the test uses

Place-of-supply logic (auto-split CGST/SGST vs IGST):

```
=IF([@SupplierState]=[@BuyerState], [@Taxable]*[@Rate]/2, 0)    → CGST
=IF([@SupplierState]=[@BuyerState], [@Taxable]*[@Rate]/2, 0)    → SGST
=IF([@SupplierState]<>[@BuyerState], [@Taxable]*[@Rate], 0)      → IGST
```

TDS with threshold and section rate lookup:

```
=IF([@BaseValue] ≥ VLOOKUP([@Section], ThresholdTbl, 2, 0),
    ROUND([@BaseValue]*VLOOKUP([@Section], RateTbl, 2, 0), 0), 0)
```

3. Reconcile GSTR-2B vs purchase register (the core test)

Match on a composite key of **GSTIN + Invoice No.**, then compare tax values:

```
Key:          =[@SupplierGSTIN]&"|"&[@InvoiceNo]
2B Taxable:   =XLOOKUP([@Key], TwoB[Key], TwoB[Taxable], "NOT IN 2B")
Status:       =IFS(
    [@[2B Taxable]]="NOT IN 2B", "In books, not in 2B",
    ISNA(XLOOKUP([@Key], Books[Key], Books[Key])), "In 2B, not in books",
    ROUND([@BookTaxable], 0) < ROUND([@[2B Taxable]], 0), "Value mismatch",
    TRUE, "Matched")
```


4. Journal entries

Transaction	Dr	Cr
Purchase with ITC	Purchases ₹1,00,000; CGST ITC ₹9,000; SGST ITC ₹9,000	Vendor ₹1,18,000
TDS on the above (194J)	Vendor ₹10,000	TDS Payable ₹10,000
RCM (freight ₹10,000) — self-invoice	RCM Expense ₹10,000; IGST ITC ₹1,800	Vendor ₹10,000; IGST RCM Payable ₹1,800

5. GST-portal click-path (2B download)

Services → Returns → Returns Dashboard → select period → GSTR-2B → View / Download → Download Excel . This is what you'd narrate if asked "walk me through pulling 2B."

Worked example / mini-project

Reconcile a month for "Acme Traders" (Maharashtra). Purchase register (books) vs GSTR-2B:

Supplier	GSTIN	Inv No	Books Taxable	Books GST	2B Taxable	2B GST
Alpha Ltd	27AAA...1Z5	INV-101	50,000	9,000	50,000	9,000
Beta Co	27BBB...2Z4	INV-205	30,000	5,400	30,000	5,400
Gamma Inc	24GGG...3Z3	INV-88	20,000	3,600	—	—
Delta LLP	27DDD...4Z2	INV-410	40,000	7,200	40,000	7,600
Zeta Pvt	27ZZZ...5Z1	—	—	—	15,000	2,700

Run the **Status** formula:

- **INV-101, INV-205** → *Matched* (claim ITC ₹9,000 + ₹5,400).
- **Gamma INV-88** → *In books, not in 2B* — vendor hasn't filed. **Defer** ITC of ₹3,600 (Sec 16(2)(aa): no 2B, no credit).
- **Delta INV-410** → *Value mismatch* — books GST ₹7,200 vs 2B ₹7,600. Either your invoice-value entry is wrong or vendor over-reported. Investigate; claim only the reconciled amount.
- **Zeta** → *In 2B, not in books* — vendor filed against your GSTIN but you have no bill. Could be a wrong GSTIN by the vendor or a missed booking. Do **not** claim until traced.

Eligible ITC this month = ₹14,400 (only matched lines). The deliverable is this table plus a one-line follow-up email: "Gamma & Delta — please confirm GSTR-1 filing / invoice value for INV-88 and INV-410."

How it's tested

Interview questions (verbal):

1. "Vendor bills ₹1,00,000 + 18% GST for professional fees — how much TDS, on what value?" (Answer: ₹10,000 on the base.)
2. "Invoice is in your books but not in 2B — can you take ITC?" (No — Sec 16(2)(aa).)

3. "Difference between GSTR-2A and 2B?" (2A is dynamic/live; 2B is static, generated 14th, and is the ITC basis.)
4. "What's blocked ITC under Sec 17(5)?" (Motor vehicles, personal consumption, works contract for immovable property, etc.)
5. "RCM on which common expenses?" (GTA/freight, legal fees from advocates, director sitting fees, import of services.)
6. "Due dates for GSTR-1, 3B, TDS payment, TDS return?"

Practical/assessment test (hands-on):

- A **timed 30-45 min Excel** with a purchase dump and a 2B extract: "reconcile and tell me eligible ITC." (Exactly the mini-project above.)
- "Here's a vendor invoice — compute GST and TDS, give me the net payable and journal entry."
- A **TallyPrime** live task: pass a purchase voucher with ITC and a TDS deduction.
- A **case**: "Vendor filed GSTR-1 late in the next month — how does your reconciliation and ITC treatment change?"

Common mistakes & how pros avoid them

Mistake	Fix
Deducting TDS on GST-inclusive amount	Deduct on base value when GST is shown separately (Circular 23/2017)
Claiming ITC because it's in <i>books</i>	ITC follows 2B , not books — Sec 16(2)(aa)
Matching on invoice number alone	Use GSTIN + Invoice No. — invoice numbers repeat across vendors
Ignoring rounding	<code>ROUND(... , 0)</code> both sides before comparing; paise differences flag false mismatches
Forgetting Sec 16(4) time limit	ITC lapses after 30 Nov of next FY / annual return date
Treating 2A and 2B as interchangeable	2B is the static, auditable ITC basis; quote it in the interview
Missing RCM self-invoice	RCM creates a liability <i>and</i> an offsetting ITC — book both

Pros also **keep the reconciliation reproducible**: a single key column, `XL00KUP` not `VL00KUP` (returns "NOT IN 2B" cleanly), and a status column that speaks in review language ("In books, not in 2B") rather than TRUE/FALSE.

Learn-it roadmap & resources

Time to interview-ready: 3-5 weeks if you already know the concepts.

- **Week 1** — Rebuild the GST computation + place-of-supply logic in Excel; memorise the return calendar and Sec 17(5)/16 rules.
- **Week 2** — Build the 2B reconciliation template from scratch; run it on 3 sample datasets.
- **Week 3** — TDS: section rates, thresholds, Form 26Q, and journal entries; practise 10 vendor-bill computations.

- **Week 4** — TallyPrime vouchers (purchase-with-ITC, TDS, RCM); mock the timed Excel test twice.

Resources: - GST portal (gst.gov.in) — file NIL returns on a test/own registration to see the real UI. - CBIC's *GST Flyers* and Circular 23/2017 (TDS-on-GST) — free, authoritative. - ICAI Study Material (Taxation) — you already have this via CA Inter. - ClearTax / TaxGuru blogs for reconciliation walk-throughs. -

Certification: ICAI's *Certificate Course on GST*, or a Tally-with-GST certificate — useful signalling for non-CA roles.

Quick-reference

Item	Value
TDS base	Value excluding GST (if GST shown separately)
GST intra-state	CGST + SGST (split rate)
GST inter-state	IGST (full rate)
ITC basis	GSTR-2B (static, gen. 14th)
ITC condition	Sec 16(2)(aa) — must appear in 2B
ITC time limit	Sec 16(4) — 30 Nov of next FY
Blocked ITC	Sec 17(5)
GSTR-1 due	11th of next month
GSTR-3B due	20th of next month
TDS payment	7th of next month
TDS return (26Q)	Quarterly, 31st of month after quarter
Recon key	GSTIN & " " & InvoiceNo
Recon function	<code>XLOOKUP(key, 2B[key], 2B[val], "NOT IN 2B")</code>
Common TDS sections	194C (1/2%), 194J (10%), 194I (10% rent), 194H (5%)
Common RCM	GTA freight, advocate fees, director fees, import of service

Cheat-sheet: due-dates, rates & forms

What it is & where it's used

Every finance/accounts/tax job in India runs on a compliance calendar. Miss a GST return by a day and interest plus late fees start ticking; miss a TDS deposit and you lose the expense deduction. The person who *knows the dates cold* — the 7th, 11th, 15th, 20th of every month — is the one the manager trusts with the filings.

This chapter is the reference sheet you keep pinned. It's used by:

- **Accounts executives / AP-AR** — TDS deduction, GST input reconciliation.
- **Tax associates (Big 4, boutique CA firms)** — return filing, advance tax, TDS returns.
- **Finance analysts / controllers** — cash-flow planning around statutory outflows.
- **Founders / SME accountants** — the one-person compliance team.

Interviewers *love* this because it can't be bluffed. You either know that TDS is deposited by the **7th** and the GSTR-3B is by the **20th**, or you don't.

Rates below reflect **FY 2025-26 / AY 2026-27**. Always re-verify against the latest Finance Act — rates change every Budget.

The gap: why companies want this (and college didn't teach it)

An MBA teaches you *what* TDS is (a mechanism to collect tax at source). It never teaches you that Section 194J (professional fees) is 10%, 194C (contractor) is 1%/2%, 194Q (goods purchase) is 0.1%, or that all of them get deposited by the 7th of the next month via **Challan ITNS-281**. College gives you the concept; the employer pays for the **execution under a deadline**.

The gap is precisely this: colleges teach *principles*, jobs run on *dates, forms, sections and thresholds*. A fresher who says "I'll deduct TDS on this consultant bill at 10% under 194J, deposit by the 7th, and file 26Q for the quarter" is instantly worth more than one who defines TDS beautifully but can't file it.

What "proficient" looks like

A job-ready person can, *without Googling*:

1. Look at a purchase/expense invoice and state the correct **TDS section, rate, and threshold**.
2. Name the **due date** for TDS deposit, TDS return, GSTR-1, GSTR-3B, advance tax, and ROC filings.
3. Compute **interest and late fee** for a delayed filing.
4. Pick the **right form** (26Q vs 24Q vs 27Q; GSTR-1 vs 3B vs 9; ITR-1 vs 3 vs 6).
5. Read a GST portal / TRACES dashboard and know what's pending.

The bar isn't memorising all of the Income-tax Act — it's the **20 high-frequency dates, rates and forms** that recur every single month.

Hands-on: how to actually do it

1. The monthly compliance rhythm (burn this into memory)

Date	Obligation	Form / Challan
7th	Deposit TDS/TCS for previous month	Challan ITNS-281
11th	File GSTR-1 (outward supplies, monthly filers)	GSTR-1
13th	GSTR-1 (QRMP quarterly) / IFF (optional)	GSTR-1 / IFF
15th	PF & ESI deposit; Advance tax (quarterly)	ECR / Challan 280
20th	File & pay GSTR-3B (monthly filers)	GSTR-3B
22nd/24th	GSTR-3B (QRMP, state-wise)	GSTR-3B
30th/31st	TDS return (quarterly), ROC filings	26Q/24Q, MGT-7/AOC-4

2. TDS rate & section quick lookup (most-used)

Section	Nature of payment	Rate	Threshold (FY25-26)
192	Salary	Slab	Basic exemption
194A	Interest (non-bank)	10%	₹5,000
194C	Contractor (individual/HUF)	1%	₹30,000 single / ₹1,00,000 aggregate
194C	Contractor (others)	2%	same
194H	Commission / brokerage	2%	₹20,000
194I	Rent — plant & machinery	2%	₹2,40,000
194I	Rent — land/building	10%	₹2,40,000
194J	Professional / technical fees	10% / 2%	₹30,000
194Q	Purchase of goods	0.1%	₹50,00,000
206C(1H)	TCS on sale of goods	0.1%	₹50,00,000

No PAN → TDS at **20%** (or twice the rate, whichever is higher).

3. Interest & late-fee formulas (put these in Excel)

```
' TDS interest – late DEDUCTION: 1% per month (or part) from due-to-deduct to actual deduction
=TDS_Amount * 1% * Months_Delay

' TDS interest – late DEPOSIT: 1.5% per month (or part) from deduction to deposit
=TDS_Amount * 1.5% * ROUNDUP((Deposit_Date - Deduction_Date)/30, 0)

' GST late fee (3B/1): Rs 50/day (Rs 20/day nil), capped
=MIN(Days_Late * 50, Cap)

' GST interest on late tax payment: 18% p.a. on net tax
=Net_Tax * 18% * Days_Late / 365
```

4. Which form? (decision cheat-sheet)

```
TDS returns:   Salary → 24Q   | Resident non-salary → 26Q   | Non-resident → 27Q   | TCS → 27
GST returns:   Sales → GSTR-1 | Summary+pay → GSTR-3B   | Annual → GSTR-9 (>Rs 2 cr) + 9
Income Tax:    Individual (no biz) → ITR-1/2 | Individual+biz → ITR-3 | Firm/LLP → ITR-5 | Com
ROC (company): Annual return → MGT-7 | Financials → AOC-4 | Director KYC → DIR-3 KYC
```

5. Income-tax slabs — New Regime (default, AY 2026-27)

Income slab	Rate
Up to ₹4,00,000	Nil
₹4,00,001 – ₹8,00,000	5%
₹8,00,001 – ₹12,00,000	10%
₹12,00,001 – ₹16,00,000	15%
₹16,00,001 – ₹20,00,000	20%
₹20,00,001 – ₹24,00,000	25%
Above ₹24,00,000	30%

Rebate u/s 87A: nil tax up to ₹12,00,000 taxable income. Standard deduction ₹75,000 (salary). Verify against the current Finance Act each year.

Worked example / mini-project

Scenario: Acme Traders Pvt Ltd, June 2026. Build the month's compliance sheet.

Transactions: - Paid consultant ₹80,000 for audit support (194J). - Paid contractor (company) ₹1,50,000 for fit-out (194C). - Office rent to landlord ₹60,000/month (194I building). - June sales ₹18,00,000 + GST 18%; input

GST available ₹1,40,000.

Step 1 — TDS:

Payment	Section	Rate	TDS
Consultant ₹80,000	194J	10%	₹8,000
Contractor ₹1,50,000	194C	2%	₹3,000
Rent ₹60,000	194I(b)	10%	₹6,000
Total TDS			₹17,000

Deposit ₹17,000 via ITNS-281 by **7 July 2026**. File 26Q by **31 July 2026** (Q1).

Step 2 — GST: - Output GST = $18,00,000 \times 18\% = ₹3,24,000$ - Input credit = ₹1,40,000 - Net GST payable = **₹1,84,000** - File GSTR-1 by **11 July**, GSTR-3B + pay ₹1,84,000 by **20 July 2026**.

Step 3 — What if 3B is filed on 5 August (15 days late)? - Late fee = $15 \times ₹50 = ₹750$ - Interest = $1,84,000 \times 18\% \times 15/365 = ₹1,361$ - Total avoidable cost = **₹2,111** — the entire point of knowing the calendar.

Journal entry for the consultant bill + TDS:

Particulars	Dr	Cr
Professional Fees A/c	80,000	
To TDS Payable (194J)		8,000
To Consultant (Bank/Payable)		72,000

How it's tested

Interview questions: - "By when do you deposit TDS deducted in June?" → 7 July. - "TDS rate and section on a ₹1 lakh consultancy bill?" → 194J, 10%, ₹10,000. - "Difference between GSTR-1 and GSTR-3B?" → 1 = outward supply detail; 3B = summary + tax payment. - "Company files which ITR?" → ITR-6. - "Interest for depositing TDS one month late?" → 1.5% per month.

Practical assessments companies give: 1. **Timed compliance-calendar test** — a table of transactions; you fill section, rate, TDS, due date under 20 minutes. 2. **Excel late-fee model** — build interest/late-fee formulas for a set of delayed filings. 3. **"File this in Tally"** — pass TDS entries, generate 26Q, reconcile GSTR-2B vs purchase register. 4. **GST recon case** — spot the invoices in books but missing from GSTR-2B and quantify blocked ITC.

Common mistakes & how pros avoid them

Mistake	Fix
Deducting TDS at wrong rate/section	Keep the section table taped to your monitor; verify threshold <i>and</i> rate
Missing the "part of a month" rule	Interest is per month or part — 31 days = 2 months, always ROUNDUP
Forgetting the aggregate threshold (194C ₹1 L/yr)	Track year-to-date payments per vendor, not just single bills
Filing 3B without reconciling 2B	Reconcile ITC monthly; claim only what appears in GSTR-2B
No-PAN vendor deducted at normal rate	20% flat when PAN absent — always collect PAN first
Depositing TDS but not filing the return	Deposit ≠ return; 26Q/24Q are separate quarterly obligations
Using old FY rates	Re-check every rate after the Union Budget

Pros run a **shared calendar with reminders 2 days before each due date**, keep a vendor master with PAN + default TDS section, and reconcile GST every month — never at year-end.

Learn-it roadmap & resources

Time to proficiency: 3–4 weeks of hands-on filing to internalise the calendar; ~2 months to be trusted end-to-end.

- **Week 1** — Memorise the monthly rhythm (7/11/15/20) and top-10 TDS sections.
- **Week 2** — Practice GSTR-1 & 3B on the GST portal sandbox; do 2B reconciliation.
- **Week 3** — File a mock 26Q on TRACES; build the interest/late-fee Excel model.
- **Week 4** — Do a full month's close for a dummy company (like the example above).

Resources: - **Free:** income-tax portal (incometax.gov.in), GST portal (gst.gov.in), CBIC & CBDT circulars, ClearTax/TaxGuru blogs, ICAI study material (Taxation). - **Paid:** ClearTax / Zoho Books hands-on, Udemy "GST & TDS Practical", any local CA-firm articleship (best learning). - **Certification:** CA Intermediate (Taxation paper), ICAI GST certificate course, GST Practitioner exam.

Quick-reference

MONTHLY: 7th TDS deposit | 11th GSTR-1 | 15th PF/ESI/adv tax | 20th GSTR-3B

QUARTERLY: TDS return by end of month after quarter (Q4 salary 24Q → 31 May)

ADV TAX: 15 Jun 15% | 15 Sep 45% | 15 Dec 75% | 15 Mar 100%

ANNUAL: ITR (non-audit) 31 Jul | audit 31 Oct | GSTR-9 31 Dec | AOC-4/MGT-7 within 30/60 day

Quick TDS	Sec	Rate
Salary	192	Slab
Contractor	194C	1%/2%
Commission	194H	2%
Rent (building)	194I	10%
Professional	194J	10%
Goods purchase	194Q	0.1%

Interest/Fee	Rate
TDS late deduction	1% / month
TDS late deposit	1.5% / month
GST late tax	18% p.a.
GST late fee	₹50/day (₹20 nil), capped
Income-tax 234B/C	1% / month

Forms: 24Q (salary TDS) · 26Q (non-salary) · 27Q (NR) · 27EQ (TCS) · GSTR-1/3B/9/9C · ITR-1/3/5/6 · ITNS-281 (TDS challan) · Challan 280 (income tax).